

**JOCHU TECHNOLOGY CO., LTD. AND
SUBSIDIARIES
CONSOLIDATED FINANCIAL STATEMENTS AND
INDEPENDENT AUDITORS' REVIEW REPORT
JUNE 30, 2025 AND 2024**

For the convenience of readers and for information purpose only, the auditors' report and the accompanying financial statements have been translated into English from the original Chinese version prepared and used in the Republic of China. In the event of any discrepancy between the English version and the original Chinese version or any differences in the interpretation of the two versions, the Chinese-language auditors' report and financial statements shall prevail.

INDEPENDENT AUDITORS' REVIEW REPORT

To the Board of Directors and Shareholders of JOCHU TECHNOLOGY CO., LTD.

Introduction

We have reviewed the accompanying consolidated balance sheets of JOCHU TECHNOLOGY CO., LTD. and subsidiaries (the "Group") as at June 30, 2025 and 2024, and the related consolidated statements of comprehensive income for the three-month and six-month periods then ended, as well as the consolidated statements of changes in equity and of cash flows for the six-month periods then ended, and notes to the consolidated financial statements, including a summary of material accounting policies. Management is responsible for the preparation and fair presentation of these consolidated financial statements in accordance with the Regulations Governing the Preparation of Financial Reports by Securities Issuers and International Accounting Standard 34, "Interim Financial Reporting" that came into effect as endorsed by the Financial Supervisory Commission. Our responsibility is to express a conclusion on these consolidated financial statements based on our reviews.

Scope of Review

We conducted our reviews in accordance with the Standard on Review Engagements 2410, "Review of Financial Information Performed by the Independent Auditor of the Entity" of the Republic of China. A review of consolidated financial statements consists of making inquiries, primarily of persons responsible for financial and accounting matters, and applying analytical and other review procedures. A review is substantially less in scope than an audit and consequently does not enable us to obtain assurance that we would become aware of all significant matters that might be identified in an audit. Accordingly, we do not express an audit opinion.

Conclusion

Based on our reviews, nothing has come to our attention that causes us to believe that the accompanying consolidated financial statements do not present fairly, in all material respects, the consolidated financial position of the Group as at June 30, 2025 and 2024, and of its consolidated financial performance for the three-month and six-month periods then ended and its consolidated cash flows for the six-month periods then ended in accordance with the Regulations Governing the Preparation of Financial Reports by Securities Issuers and International Accounting Standard 34, "Interim Financial Reporting" that came into effect as endorsed by the Financial Supervisory Commission.

Liao, Fu-Ming

Lin, Yung-Chih

For and on Behalf of PricewaterhouseCoopers, Taiwan

August 13, 2025

The accompanying consolidated financial statements are not intended to present the financial position and results of operations and cash flows in accordance with accounting principles generally accepted in countries and jurisdictions other than the Republic of China. The standards, procedures and practices in the Republic of China governing the audit of such financial statements may differ from those generally accepted in countries and jurisdictions other than the Republic of China. Accordingly, the accompanying consolidated financial statements and independent auditors' report are not intended for use by those who are not informed about the accounting principles or auditing standards generally accepted in the Republic of China, and their applications in practice.

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
CONSOLIDATED BALANCE SHEETS
(In thousands of New Taiwan dollars)

Assets		Notes	June 30, 2025		December 31, 2024		June 30, 2024	
			AMOUNT	%	AMOUNT	%	AMOUNT	%
Current assets								
1100	Cash and cash equivalents	6(1)	\$ 726,491	19	\$ 1,120,889	26	\$ 1,208,386	27
1110	Financial assets at fair value through profit or loss - current	6(2)	7,090	-	-	-	204	-
1136	Financial assets at amortised cost - current	6(4) and 8	246	-	547	-	134,032	3
1150	Notes receivable, net	6(5)	29,792	1	22,726	1	13,170	-
1170	Accounts receivable, net	6(5)	1,037,367	27	1,124,521	26	1,107,278	25
1180	Accounts receivable - related parties, net	7	-	-	2,549	-	1,506	-
1197	Finance lease receivable, net		1,621	-	1,769	-	1,730	-
1200	Other receivables	6(6)	104,611	3	128,642	3	109,953	2
1220	Current income tax assets		1,679	-	1,490	-	1,315	-
130X	Inventories	6(7)	208,105	6	272,119	6	248,405	6
1410	Prepayments		85,174	2	20,786	1	22,949	1
1470	Other current assets		41,063	1	52,106	1	40,548	1
11XX	Total current assets		2,243,239	59	2,748,144	64	2,889,476	65
Non-current assets								
1510	Non-current financial assets at fair value through profit or loss	6(2)	30,102	1	30,477	1	32,920	1
1517	Financial assets at fair value through other comprehensive income - non-current	6(3)	8,430	-	8,778	-	8,745	-
1535	Financial assets at amortised cost - non-current	6(4) and 8	348	-	-	-	-	-
1600	Property, plant and equipment	6(8) and 8	1,186,381	31	1,242,723	29	1,167,931	26
1755	Right-of-use assets	6(9) and 7	93,780	3	117,496	3	133,770	3
1780	Intangible assets	6(10)	56,394	2	57,862	1	66,342	2
1840	Deferred income tax assets		37,318	1	44,656	1	43,649	1
1975	Net defined benefit asset - non-current		12,290	-	12,199	-	10,263	-
1990	Other non-current assets	8	102,535	3	30,001	1	87,926	2
15XX	Total non-current assets		1,527,578	41	1,544,192	36	1,551,546	35
1XXX	Total assets		\$ 3,770,817	100	\$ 4,292,336	100	\$ 4,441,022	100

(Continued)

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
CONSOLIDATED BALANCE SHEETS
(In thousands of New Taiwan dollars)

Liabilities and Equity		Notes	June 30, 2025		December 31, 2024		June 30, 2024	
			AMOUNT	%	AMOUNT	%	AMOUNT	%
Current liabilities								
2100	Short-term borrowings	6(11)	\$ 45,000	1	\$ 45,000	1	\$ 45,000	1
2120	Current financial liabilities at fair value through profit or loss	6(2)	-	-	5,710	-	2,574	-
2130	Contract liabilities - current	6(20)	1,999	-	1,900	-	12,781	-
2170	Accounts payable	6(12)	572,729	15	604,299	14	584,937	13
2200	Other payables	6(13)	259,092	7	341,188	8	382,180	9
2220	Other payables to related parties	7	459	-	217	-	223	-
2230	Current income tax liabilities		7,378	-	10,373	-	6,339	-
2280	Lease liabilities - current	7	24,453	1	24,584	1	26,075	1
2320	Long-term borrowings - current	6(14)	50,000	2	50,000	1	50,000	1
2399	Other current liabilities		4,619	-	4,304	-	2,432	-
21XX	Total current liabilities		965,729	26	1,087,575	25	1,112,541	25
Non-current liabilities								
2540	Long-term borrowings	6(14)	125,000	4	150,000	4	175,000	4
2570	Deferred income tax liabilities		160,193	4	176,314	4	167,968	4
2580	Lease liabilities - non-current	7	8,991	-	16,574	-	35,626	1
2600	Other non-current liabilities		6,710	-	6,316	-	6,653	-
25XX	Total non-current liabilities		300,894	8	349,204	8	385,247	9
2XXX	Total liabilities		1,266,623	34	1,436,779	33	1,497,788	34
Equity								
Equity attributable to owners of the parent								
Share capital								
3110	Ordinary share	6(16)	892,631	24	892,631	21	892,631	20
Capital surplus								
3200	Capital surplus	6(17)	1,570,092	41	1,622,130	38	1,622,130	37
Retained earnings								
3310	Legal reserve	6(18)	142,048	4	151,775	4	151,775	4
3320	Special reserve		280,709	7	369,917	9	369,917	8
3350	Accumulated deficit		(41,502)	(1)	(98,935)	(2)	(27,507)	(1)
Other equity interest								
3400	Other equity interest	6(19)	(495,753)	(13)	(280,708)	(7)	(286,499)	(6)
3500	Treasury shares	6(16)	(25,619)	(1)	(25,619)	(1)	(25,619)	(1)
31XX	Equity attributable to owners of the parent		2,322,606	61	2,631,191	62	2,696,828	61
36XX	Non-controlling interests	4(3)	181,588	5	224,366	5	246,406	5
3XXX	Total equity		2,504,194	66	2,855,557	67	2,943,234	66
Significant contingent liabilities and unrecognised contract commitments								
Significant Events after the Balance Sheet Date								
3X2X	Total liabilities and equity		\$ 3,770,817	100	\$ 4,292,336	100	\$ 4,441,022	100

The accompanying notes are an integral part of these consolidated financial statements.

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME
(In thousands of New Taiwan dollars, except for (loss) earnings per share amount)

Items	Notes	Three months ended June 30				Six months ended June 30			
		2025		2024		2025		2024	
		AMOUNT	%	AMOUNT	%	AMOUNT	%	AMOUNT	%
4000 Operating revenue	6(20) and 7	\$ 821,557	100	\$ 789,765	100	\$ 1,711,970	100	\$ 1,549,430	100
5000 Operating costs	6(7)(25)	(720,436)	(88)	(675,668)	(85.)	(1,486,060)	(87)	(1,323,792)	(86)
5900 Gross profit		<u>101,121</u>	<u>12</u>	<u>114,097</u>	<u>15</u>	<u>225,910</u>	<u>13</u>	<u>225,638</u>	<u>14</u>
Operating expenses	6(25) and 7								
6100 Selling and marketing expenses		(33,260)	(4)	(34,799)	(5)	(65,738)	(4)	(70,897)	(5)
6200 General and administrative expenses		(81,489)	(10)	(79,233)	(10)	(161,656)	(9)	(158,188)	(10)
6300 Research and development expenses		(16,669)	(2)	(16,927)	(2)	(33,744)	(2)	(34,079)	(2)
6450 Expected credit gain (loss)	12(2)	<u>36</u>	<u>-</u>	<u>(376)</u>	<u>-</u>	<u>1,026</u>	<u>-</u>	<u>(4,366)</u>	<u>-</u>
6000 Total operating expenses		(131,382)	(16)	(131,335)	(17)	(260,112)	(15)	(267,530)	(17)
6900 Net operating loss		(30,261)	(4)	(17,238)	(2)	(34,202)	(2)	(41,892)	(3)
Non-operating income and expenses									
7100 Interest income	6(21)	2,666	-	6,325	1	6,275	-	12,463	1
7010 Other income	6(22)	2,984	1	3,448	-	6,543	1	6,126	-
7020 Other gains and losses	6(23)	(17,582)	(2)	(5,184)	(1)	(15,706)	(1)	4,814	-
7050 Finance costs	6(24) and 7	(1,348)	-	(1,782)	-	(2,785)	-	(3,584)	-
7000 Total non-operating income and expenses		(13,280)	(1)	2,807	-	(5,673)	-	19,819	1
7900 Loss before income tax		(43,541)	(5)	(14,431)	(2)	(39,875)	(2)	(22,073)	(2)
7950 Income tax expense	6(27)	(12,873)	(2)	(472)	-	(15,644)	(1)	(19,417)	(1)
8200 Loss for the year		<u>(\$ 56,414)</u>	<u>(7)</u>	<u>(\$ 14,903)</u>	<u>(2)</u>	<u>(\$ 55,519)</u>	<u>(3)</u>	<u>(\$ 41,490)</u>	<u>(3)</u>
Other comprehensive income (loss)									
Components of other comprehensive income (loss) that will be reclassified to profit or loss									
8361 Financial statements translation differences of foreign operations		(\$ 248,872)	(30)	\$ 10,709	1	(\$ 251,712)	(15)	\$ 91,359	6
8300 Other comprehensive loss for the year		<u>(\$ 248,872)</u>	<u>(30)</u>	<u>\$ 10,709</u>	<u>1</u>	<u>(\$ 251,712)</u>	<u>(15)</u>	<u>\$ 91,359</u>	<u>6</u>
8500 Total comprehensive income (loss) for the year		<u>(\$ 305,286)</u>	<u>(37)</u>	<u>(\$ 4,194)</u>	<u>(1)</u>	<u>(\$ 307,231)</u>	<u>(18)</u>	<u>\$ 49,869</u>	<u>3</u>
Loss attributable to:									
8610 Owners of the parent		(\$ 44,646)	(6)	(\$ 7,395)	(1)	(\$ 36,679)	(2)	(\$ 27,715)	(2)
8620 Non-controlling interests		(11,768)	(1)	(7,508)	(1)	(18,840)	(1)	(13,775)	(1)
		<u>(\$ 56,414)</u>	<u>(7)</u>	<u>(\$ 14,903)</u>	<u>(2)</u>	<u>(\$ 55,519)</u>	<u>(3)</u>	<u>(\$ 41,490)</u>	<u>(3)</u>
Comprehensive income (loss) attributable to:									
8710 Owners of the parent		(\$ 264,948)	(32)	\$ 2,511	-	(\$ 251,724)	(15)	\$ 55,702	3
8720 Non-controlling interests		(40,338)	(5)	(6,705)	(1)	(55,507)	(3)	(5,833)	-
		<u>(\$ 305,286)</u>	<u>(37)</u>	<u>(\$ 4,194)</u>	<u>(1)</u>	<u>(\$ 307,231)</u>	<u>(18)</u>	<u>\$ 49,869</u>	<u>3</u>
Loss per share (in dollars)	6(28)								
9750 Basic loss per share		<u>(\$ 0.51)</u>		<u>(\$ 0.08)</u>		<u>(\$ 0.42)</u>		<u>(\$ 0.31)</u>	
9850 Diluted loss per share		<u>(\$ 0.51)</u>		<u>(\$ 0.08)</u>		<u>(\$ 0.42)</u>		<u>(\$ 0.31)</u>	

The accompanying notes are an integral part of these consolidated financial statements.

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY
(In thousands of New Taiwan dollars)

Notes	Equity attributable to owners of the parent									
	Retained Earnings					Financial statements translation differences of foreign operations	Treasury shares	Total	Non-controlling interests	Total equity
	Share capital ordinary share	Capital surplus	Legal reserve	Special reserve	(Accumulated deficit) unappropriated retained earnings					
<u>Six months ended June 30, 2024</u>										
Balance at January 1, 2024	\$ 892,631	\$ 1,666,262	\$ 143,906	\$ 362,837	\$ 59,289	(\$ 369,916)	\$ -	\$ 2,755,009	\$ 252,239	\$ 3,007,248
Loss for the year	-	-	-	-	(27,715)	-	-	(27,715)	(13,775)	(41,490)
Other comprehensive income (loss) for the year	6(19)	-	-	-	-	83,417	-	83,417	7,942	91,359
Total comprehensive income (loss) for the year		-	-	-	(27,715)	83,417	-	55,702	(5,833)	49,869
Appropriations of 2023 earnings:	6(18)									
Legal reserve		-	7,869	-	(7,869)	-	-	-	-	-
Special reserve		-	-	7,080	(7,080)	-	-	-	-	-
Cash dividends		-	-	-	(44,132)	-	-	(44,132)	-	(44,132)
Issuance of cash dividends from capital surplus	6(17)	-	(44,132)	-	-	-	-	(44,132)	-	(44,132)
Purchase of treasury shares	6(16)	-	-	-	-	-	(25,619)	(25,619)	-	(25,619)
Balance at June 30, 2024		<u>\$ 892,631</u>	<u>\$ 1,622,130</u>	<u>\$ 151,775</u>	<u>\$ 369,917</u>	<u>(\$ 27,507)</u>	<u>(\$ 25,619)</u>	<u>\$ 2,696,828</u>	<u>\$ 246,406</u>	<u>\$ 2,943,234</u>
<u>Six months ended June 30, 2025</u>										
Balance at January 1, 2025		\$ 892,631	\$ 1,622,130	\$ 151,775	\$ 369,917	(\$ 98,935)	(\$ 280,708)	\$ 2,631,191	\$ 224,366	\$ 2,855,557
Loss for the year		-	-	-	-	(36,679)	-	(36,679)	(18,840)	(55,519)
Other comprehensive income (loss) for the year	6(19)	-	-	-	-	(215,045)	-	(215,045)	(36,667)	(251,712)
Total comprehensive income (loss) for the year		-	-	-	(36,679)	(215,045)	-	(251,724)	(55,507)	(307,231)
Appropriations of 2024 earnings:	6(18)									
Legal reserve used to cover accumulated deficit		-	(9,727)	-	9,727	-	-	-	-	-
Reversal of special reserve		-	-	(89,208)	89,208	-	-	-	-	-
Issuance of cash dividends from capital surplus	6(17)	-	(44,132)	-	-	-	-	(44,132)	-	(44,132)
Adjustments to share of changes in equity of associates and joint ventures	4(3)	-	(7,906)	-	(4,823)	-	-	(12,729)	12,729	-
Balance at June 30, 2025		<u>\$ 892,631</u>	<u>\$ 1,570,092</u>	<u>\$ 142,048</u>	<u>\$ 280,709</u>	<u>(\$ 41,502)</u>	<u>(\$ 495,753)</u>	<u>\$ 2,322,606</u>	<u>\$ 181,588</u>	<u>\$ 2,504,194</u>

The accompanying notes are an integral part of these consolidated financial statements.

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CASH FLOWS
(In thousands of New Taiwan dollars)

		Six months ended June 30	
	Notes	2025	2024
CASH FLOWS FROM OPERATING ACTIVITIES			
Loss before tax		(\$ 39,875)	(\$ 22,073)
Adjustments			
Adjustments to reconcile profit (loss)			
Depreciation charges on property, plant, and equipment	6(8)(25)	75,068	71,253
Depreciation charges on right-of-use assets	6(9)(25)	12,341	16,069
Expected credit (loss) gain	12(2)	(1,026)	4,366
Amortization charges	6(25)	7,169	7,516
Interest income	6(21)	(6,275)	(12,463)
Gain on disposal of property, plant, and equipment	6(23)	(556)	(1,890)
Profit from lease modification	6(9)(23)	(3)	-
Loss on financial assets and liabilities at fair value through profit or loss	6(2)(23)	(5,983)	20,794
Impairment loss recognized in profit or loss, property, plant and equipment	6(8)(23)	-	2,263
Interest expense	6(24)	2,785	3,584
Changes in operating assets and liabilities			
Changes in operating assets			
Notes receivable		(10,182)	20,130
Accounts receivable		(16,269)	66,664
Accounts receivable to related parties		96	884
Other receivables		11,032	(13,026)
Inventories		48,179	(42,535)
Other current assets		(67,829)	(6,224)
Net defined benefit asset		(91)	(57)
Changes in operating liabilities			
Contract liabilities - current		99	8,699
Accounts payable		21,623	80,851
Accounts payable to related parties		-	(1,059)
Other payables		(60,335)	(33,224)
Other payables to related parties		242	4
Other current liabilities		349	268
Other non-current liabilities		453	423
Cash (outflow) inflow generated from operations		(28,988)	171,217
Interest received		6,922	8,917
Interest paid		(2,333)	(2,757)
Income tax paid		(29,686)	(50,338)
Net cash flows (used in) from operating activities		(54,085)	127,039

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JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CASH FLOWS
(In thousands of New Taiwan dollars)

		Six months ended June 30	
	Notes	2025	2024
<u>CASH FLOWS FROM INVESTING ACTIVITIES</u>			
Acquisition of financial assets at amortized cost		(\$ 387)	\$ -
Proceeds from disposal of financial assets at amortized cost		266	60,426
Increase in financial assets at fair value through profit or loss		(6,524)	(18,236)
Acquisition of financial assets at fair value through other comprehensive income (loss)		-	(5,500)
Acquisition of property, plant, and equipment	6(29)	(104,653)	(65,630)
Disposal of property, plant, and equipment		1,779	4,404
Acquisition of intangible assets	6(10)	(543)	-
(Increase) decrease in guarantee deposits paid		(420)	3
Increase in prepayments for equipment		(90,169)	(70,257)
Net cash flows used in investing activities		(200,651)	(94,790)
<u>CASH FLOWS FROM FINANCING ACTIVITIES</u>			
Proceeds from short-term borrowings		185,000	250,000
Repayments of short-term borrowings		(185,000)	(250,000)
Repayments of long-term borrowings	6(30)	(25,000)	(32,633)
Increase in guarantee deposits received	6(30)	-	161
Payments of lease liabilities	6(30)	(8,572)	(9,290)
Purchase of treasury shares	6(16)	-	(25,619)
Distribution of cash from capital surplus	6(17)	(44,124)	-
Net cash flows used in financing activities		(77,696)	(67,381)
Effect of exchange rate changes on cash and cash equivalents		(61,966)	19,933
Net decrease in cash and cash equivalents		(394,398)	(15,199)
Cash and cash equivalents at beginning of period		1,120,889	1,223,585
Cash and cash equivalents at end of period		\$ 726,491	\$ 1,208,386

The accompanying notes are an integral part of these consolidated financial statements.

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
FOR THE THREE MONTHS ENDED JUNE 30, 2025 AND 2024

(Expressed in thousands of New Taiwan dollars, except as otherwise indicated)

1. History and Organization

Jochu Technology Co., Ltd. (the “Company”) was incorporated in June 2000 under the provisions of the Company Act of the Republic of China (R.O.C.). The Company and its subsidiaries (the “Group”) are primarily engaged in manufacturing and selling of optoelectronic components, stamping molds, metal furniture, medical devices, and related international trading business. On April 17, 2006 and December 31, 2005, the Company merged with Yourui Precision Technology Co., Ltd. (“Yourui”) and Jingrong Machinery Co., Ltd. (“Jingrong”), respectively. The Company was the surviving company, while Yourui and Jingrong were the merged companies. The Company has been listed on the Taiwan Stock Exchange since April 2020.

2. The Date of Authorisation for Issuance of the Financial Statements and Procedures for Authorisation

These consolidated financial statements were authorized for issuance by the Board of Directors on August 13, 2025.

3. Application of New Standards, Amendments and Interpretations

(1) Effect of the adoption of new issuances of or amendments to International Financial Reporting Standards (“IFRS”) that came into effect as endorsed by the Financial Supervisory Commission (“FSC”)

New standards, interpretations and amendments endorsed by the FSC and became effective from 2025 are as follows:

<u>New Standards, Interpretations and Amendments</u>	<u>Effective date by International Accounting Standards Board</u>
Amendments to IAS 21, ‘Lack of exchangeability’	January 1, 2025

The above standards and interpretations have no significant impact to the Group’s financial condition and financial performance based on the Group’s assessment.

(2) Effect of new issuances of or amendments to IFRSs as endorsed by the FSC but not yet adopted by the Group

New standards, interpretations and amendments endorsed by the FSC and will become effective from 2026 are as follows:

<u>New Standards, Interpretations and Amendments</u>	<u>Effective date by IASB</u>
Amendments to IFRS 9 and IFRS 7, 'Amendments to the classification and measurement of financial Instruments'	January 1, 2026

The above standards and interpretations have no significant impact to the Group's financial condition and financial performance based on the Group's assessment.

(3) IFRSs issued by International Accounting Standards Board ("IASB") but not yet endorsed by the FSC

New standards, interpretations and amendments issued by IASB but not yet included in the IFRSs as endorsed by the FSC are as follows:

<u>New Standards, Interpretations and Amendments</u>	<u>Effective date by IASB</u>
Amendments to IFRS 10 and IAS 28, 'Sale or contribution of assets between an investor and its associate or joint venture'	To be determined by IASB
IFRS 18, 'Presentation and disclosure in financial statements'	January 1, 2027
IFRS 19, 'Subsidiaries without public accountability: disclosures'	January 1, 2027

Except for the following, the above standards and interpretations have no significant impact to the Group's financial condition and financial performance based on the Group's assessment.

IFRS 18, 'Presentation and disclosure in financial statements'

IFRS 18, 'Presentation and disclosure in financial statements' replaces IAS 1. The standard introduces a defined structure of the statement of profit or loss, disclosure requirements related to management-defined performance measures, and enhanced principles on aggregation and disaggregation which apply to the primary financial statements and notes.

4. Summary of Significant Accounting Policies

Except for the compliance statement, basis of preparation and basis of consolidation set out below, the rest of the significant accounting policies applied in the preparation of these consolidated financial statements are the same as those disclosed in Note 4 to the consolidated financial statements as of and for the year ended 2024. The policies have been consistently applied to all the periods presented, unless otherwise stated.

(1) Compliance statement

- A. These consolidated financial statements of the Group have been prepared in accordance with the Regulations Governing the Preparation of Financial Reports by Securities Issuers and the International Accounting Standard 34, “Interim Financial Reporting” that came into effect as endorsed by the FSC.
- B. These consolidated financial statements are to be read in conjunction together with the consolidated financial statements for the year ended 2024.

(2) Basis of preparation

- A. Except for the following items, the consolidated financial statements have been prepared under the historical cost convention:
 - (a) Financial assets and financial liabilities (including derivative instruments) at fair value through profit or loss.
 - (b) Financial assets at fair value through other comprehensive income.
 - (c) Defined benefit assets recognized based on the net amount of pension fund assets less present value of defined benefit obligation.
- B. The preparation of financial statements in conformity with International Financial Reporting Standards, International Accounting Standards, IFRIC Interpretations, and SIC Interpretations that came into effect as endorsed by the FSC (collectively referred herein as the “IFRSs”) requires the use of certain critical accounting estimates. It also requires management to exercise its judgment in the process of applying the Group’s accounting policies. The areas involving a higher degree of judgment or complexity, or areas where assumptions and estimates are significant to the consolidated financial statements are disclosed in Note 5.

(3) Basis of consolidation

- A. Basis for preparation of consolidated financial statements:

The basis for preparation of these consolidated financial statements is the same as that for the preparation of the consolidated financial statements for the year ended 2024.

B. Subsidiaries included in the consolidated financial statements:

Name of investor	Name of subsidiary	Main business activities	Ownership (%)			Description
			June 30, 2025	December 31, 2024	June 30, 2024	
The Company	JOCHU INVESTMENT LTD. (JOCHU BVI)	Investment holding	100%	100%	100%	
	LEGIUN TECHNOLOGY CO., LTD. (LEGIUN)	Sales of medical devices	100%	100%	100%	
	eBio International Co., Ltd. (eBio International)	Investment holding	73.66%	52.02%	52.02%	Note
	JOCHU BVI SUZHOU JOCHU PRECISION METAL CO., LTD. (SUZHOU JOCHU)	Production and sales of optoelectronic components, stamping molds, and related international trading business	100%	100%	100%	
	JOCHU GLOBAL INVESTMENT (CAYMAN) LTD. (JOCHU GLOBAL)	Investment holding	100%	100%	100%	

Name of investor	Name of subsidiary	Main business activities	Ownership (%)			Description
			June 30, 2025	December 31, 2024	June 30, 2024	
JOCHU BVI	PROSPERITY INVESTMENT HOLDING PTE. LTD. (PIH)	Investment holding	65%	65%	65%	
eBio International	eBio technology Inc.	Research and development, manufacturing of medical electronic devices, biomedical sensors, and integrated design services for healthcare systems.	100%	100%	100%	
JOCHU GLOBAL	JOCHU INTERNATIONAL L (CAYMAN) LTD. (JOCHU INTERNATIONAL)	Investment holding	100%	100%	100%	
JOCHU INTERNATIONAL	JOCHU TECHNOLOGY (XIAMEN) LTD. (XIAMEN JOCHU)	Investment holding	66.67%	66.67%	66.67%	
PIH	JOCHU VIETNAM	Production and sales of optoelectronic components, stamping molds, and related international trading business	100%	100%	100%	
SUZHOU JOCHU	XIAMEN JOCHU	Production and sales of optoelectronic components, stamping molds, and related international trading business	33.33%	33.33%	33.33%	

Note : On February 6, 2025, the Company's Board of Directors resolved to increase investment in eBio International. In February 2025, the Company converted debt of \$30,000 into equity and additionally contributed \$6,000 in cash to participate in the capital increase plan. As a result, the Company's ownership in eBio International increased from 52.02% to 73.66% as of March 31, 2025. The difference between the acquisition cost and the net assets acquired was recognized as a reduction in capital surplus and retained earnings in the amounts of \$7,906 and \$4,823, respectively.

C. Subsidiaries not included in the consolidated financial statements: None.

D. Adjustments for subsidiaries with different balance sheet dates: None.

E. Significant restrictions: None.

F. Subsidiaries that have non-controlling interests that are material to the Group:

As at June 30, 2025, December 31, 2024 and June 30, 2024 the non-controlling interest amounted to \$181,588 、\$224,366 and \$246,406, respectively. The information of non-controlling interest and respective subsidiaries is as follows:

Name of subsidiary	Principal place of business	Non-controlling interests			
		June 30, 2025		December 31, 2024	
		Amount	Ownership (%)	Amount	Ownership (%)
PIH	Singapore	\$ 176,682	35%	\$ 231,320	35%

Name of subsidiary	Principal place of business	June 30, 2024	
		Amount	Ownership (%)
PIH	Singapore	\$ 240,856	35%

Summarized financial information of the subsidiaries:

Balance sheet

	PIH		
	June 30, 2025	December 31, 2024	June 30, 2024
Current asset	\$ 146,397	\$ 334,182	\$ 393,574
Non-current assets	470,734	372,204	359,377
Current liabilities	(111,446)	(44,488)	(63,819)
Non-current liabilities	(879)	(984)	(974)
Total net assets	<u>\$ 504,806</u>	<u>\$ 660,914</u>	<u>\$ 688,158</u>

Statement of comprehensive income

	PIH	
	Three months ended June 30,	
	2025	2024
Revenue	\$ 49,758	\$ 20,529
Loss before income tax	(32,581)	(13,451)
Income tax expense	-	-
Loss for the Period	(32,581)	(13,451)
Other comprehensive income, net of tax	(10,876)	(7,442)
Total comprehensive income for the year	(\$ 43,457)	(\$ 20,893)
Comprehensive income attributable to non-controlling interest	(\$ 15,210)	(\$ 7,313)

	PIH	
	Six months ended June 30,	
	2025	2024
Revenue	\$ 101,796	\$ 26,012
Loss before income tax	(51,347)	(22,861)
Income tax expense	-	-
Loss for the Period	(51,347)	(22,861)
Other comprehensive income, net of tax	(42,006)	(15,760)
Total comprehensive income for the year	(\$ 93,353)	(\$ 38,621)
Comprehensive income attributable to non-controlling interest	(\$ 32,674)	(\$ 13,517)

Cash Flow Statements

	PIH	
	Six months ended June 30,	
	2025	2024
Net Cash used in operating activities	(\$ 67,672)	(\$ 9,733)
Net cash (used in) provided by investing activities	(127,611)	32,227
Net cash provided by financing activities	-	-
Effect of exchange rates on cash and cash equivalents	(18,865)	2,438
Decrease in cash and cash equivalents	(214,148)	29,932
Cash and cash equivalents, beginning of year	233,449	161,781
Cash and cash equivalents, end of year	\$ 19,301	\$ 191,713

(4) Employee benefits

Pension cost for the interim period is calculated on a year-to-date basis by using the pension cost rate derived from the actuarial valuation at the end of the prior financial year, adjusted for significant market fluctuations since that time and for significant curtailments, settlements, or other significant one-off events. Also, the related information is disclosed accordingly.

(5) Income tax

- A. The interim period income tax expense is recognized based on the estimated average annual effective income tax rate expected for the full financial year applied to the pretax income of the interim period, and the related information is disclosed accordingly.
- B. If a change in tax rate is enacted or substantively enacted in an interim period, the Group recognises the effect of the change immediately in the interim period in which the change occurs. The effect of the change on items recognised outside profit or loss is recognised in other comprehensive income or equity while the effect of the change on items recognised in profit or loss is recognised in profit or loss.

5. Critical Accounting Judgments, Estimates and Key Sources of Assumption Uncertainty

The additional disclosures are set out below. For the rest of the information, please refer to Note 5 in the consolidated financial statements for the year ended 2024.

6. Details of Significant Accounts

(1) Cash and cash equivalents

	<u>June 30, 2025</u>	<u>December 31, 2024</u>	<u>June 30, 2024</u>
Cash on hand and petty cash	\$ 466	\$ 379	\$ 463
Checking accounts and demand deposits	322,635	440,842	363,184
Time deposits	<u>403,390</u>	<u>679,668</u>	<u>844,739</u>
	<u>\$ 726,491</u>	<u>\$ 1,120,889</u>	<u>\$ 1,208,386</u>

- A. The Group transacts with a variety of financial institutions all with high credit quality to disperse credit risk, so it expects that the probability of counterparty default is remote.
- B. The Group has no cash and cash equivalents pledged to others.

(2) Financial assets and liabilities at fair value through profit or loss

	<u>June 30, 2025</u>	<u>December 31, 2024</u>	<u>June 30, 2024</u>
Current items:			
Financial assets mandatorily measured at fair value through profit or loss			
Forward foreign exchange contracts	\$ <u>7,090</u>	\$ <u>-</u>	\$ <u>204</u>

Non-current items:

Financial assets mandatorily measured at fair value through profit or loss			
Private equity fund	\$ 30,000	\$ 30,000	\$ 30,000
Valuation adjustment	<u>102</u>	<u>477</u>	<u>2,920</u>
	<u>\$ 30,102</u>	<u>\$ 30,477</u>	<u>\$ 32,920</u>

Current items:

Financial liabilities mandatorily measured at fair value through profit or loss			
Forward foreign exchange contracts	\$ <u>-</u>	\$ <u>5,710</u>	\$ <u>2,574</u>

A. Amounts recognized in profit or loss in relation to financial assets and liabilities at fair value through profit or loss are listed below:

	<u>Three months ended June 30,</u>	
	<u>2025</u>	<u>2024</u>
Financial assets and liabilities mandatorily measured at fair value through profit or loss		
Forward foreign exchange contracts	\$ 10,063	(\$ 8,475)
Private equity fund	<u>575</u>	<u>203</u>
	<u>\$ 10,638</u>	<u>(\$ 8,272)</u>
	<u>Six months ended June 30,</u>	
	<u>2025</u>	<u>2024</u>
Financial assets and liabilities mandatorily measured at fair value through profit or loss		
Forward foreign exchange contracts	\$ 6,358	(\$ 19,611)
Private equity fund	<u>(375)</u>	<u>(1,183)</u>
	<u>\$ 5,983</u>	<u>(\$ 20,794)</u>

B. The Group entered into contracts relating to derivative financial assets which were not accounted for under hedge accounting. The information is listed below:

June 30, 2025			
Derivative financial	Contract amount		Maturity date
Instruments	(notional principal)		
	(in thousands)		
Current items:			
Forward foreign exchange contracts			
Sell USD Buy RMB	USD	12,280	2025.07.01~2026.01.26
Sell USD Buy NTD	USD	4,060	2025.07.10~2025.09.10
December 31, 2024			
Derivative financial	Contract amount		Maturity date
Instruments	(notional principal)		
	(in thousands)		
Current items:			
Forward foreign exchange contracts			
Sell USD Buy RMB	USD	11,520	2025.01.01~2025.07.28
Sell USD Buy NTD	USD	4,060	2025.01.10~2025.03.10
June 30, 2024			
Derivative financial	Contract amount		Maturity date
Instruments	(notional principal)		
	(in thousands)		
Current items:			
Forward foreign exchange contracts			
Sell USD Buy RMB	USD	14,470	2024.07.01~2025.01.24
Sell USD Buy NTD	USD	4,060	2024.07.10~2024.09.10

The Group entered into forward foreign exchange contracts to sell USD to hedge exchange rate fluctuations of foreign currency denominated assets and liabilities. However, these forward foreign exchange contracts are not accounted for under hedge accounting.

- C. The Group had no financial assets at fair value through profit or loss pledged to others as collateral.
- D. The Group transacts with a variety of financial institutions all with high credit quality to disperse credit risk, so it expects that the probability of counterparty default is remote.

(3) Financial assets at fair value through other comprehensive income (loss)

Items	June 30, 2025	December 31, 2024	June 30, 2024
Non-current items:			
Equity instruments			
Unlisted stocks			
W Company	\$ 2,930	\$ 3,278	\$ 3,245
Y Company	3,000	3,000	3,000
B Company	2,500	2,500	2,500
	<u>\$ 8,430</u>	<u>\$ 8,778</u>	<u>\$ 8,745</u>

- A. The Group has elected to classify equity instruments that are considered to be strategic investments as financial assets at fair value through other comprehensive income. As at June 30, 2025, December 31, 2024 and June 30, 2024, the fair value of such investments were the same as the book value.
- B. The fair value changes of financial assets measured at fair value through other comprehensive income recognized in other comprehensive income were zero for the six months ended June 30, 2025 and 2024.
- C. The Group had no financial assets at fair value through other comprehensive income pledged to others as collateral.

(4) Financial assets at amortized cost

Items	June 30, 2025	December 31, 2024	June 30, 2024
Current items:			
Restricted assets	\$ 246	\$ 547	\$ 273
Time deposits with original maturity period of more than three months	-	-	133,759
	<u>\$ 246</u>	<u>\$ 547</u>	<u>\$ 134,032</u>
Non-current item:			
Restricted assets	<u>\$ 348</u>	<u>\$ -</u>	<u>\$ -</u>

- A. Amounts recognized in profit or loss in relation to financial assets at amortized cost are listed below:

	Three months ended June 30,	
	2025	2024
Interest income	<u>\$ 1</u>	<u>\$ 1,855</u>
	Six months ended June 30,	
	2025	2024
Interest income	<u>\$ 2</u>	<u>\$ 4,105</u>

- B. As at June 30, 2025, December 31, 2024 and June 30, 2024, without taking into account any collateral held or other credit enhancements, the maximum exposure to credit risk in respect of the amount that best represents the financial assets at amortized cost held by the Group was the book value at the balance sheet date.
- C. Details of the Group's financial assets at amortized cost pledged to others as collateral are provided in Note 8.
- D. The counterparties of the Group's investments in certificates of deposits are financial institutions with high credit quality, so the Group expects that the probability of counterparty default is remote.

(5) Notes and accounts receivable

	<u>June 30, 2025</u>	<u>December 31, 2024</u>	<u>June 30, 2024</u>
Notes receivable	\$ <u>29,792</u>	\$ <u>22,726</u>	\$ <u>13,170</u>
Accounts receivable	\$ <u>1,038,524</u>	\$ <u>1,126,727</u>	\$ <u>1,112,585</u>
Less: Allowance for uncollectible accounts	(<u>1,157</u>)	(<u>2,206</u>)	(<u>5,307</u>)
	\$ <u>1,037,367</u>	\$ <u>1,124,521</u>	\$ <u>1,107,278</u>

- A. As at June 30, 2025, December 31, 2024 and June 30, 2024, notes receivable and accounts receivable were all from contracts with customers. As at January 1, 2024, the balance of receivables from contracts with customers amounted to \$1,163,743.
- B. The ageing analysis of notes receivable and accounts receivable is as follows:

	<u>June 30, 2025</u>		<u>June 30, 2024</u>	
	<u>Notes receivable</u>	<u>Accounts receivable</u>	<u>Notes receivable</u>	<u>Accounts receivable</u>
Not past due	\$ 29,792	\$ 1,011,011	\$ 13,170	\$ 1,071,483
Up to 90 days	-	26,356	-	35,795
Over 91 days	-	1,157	-	5,307
	<u>\$ 29,792</u>	<u>\$ 1,038,524</u>	<u>\$ 13,170</u>	<u>\$ 1,112,585</u>

	<u>December 31, 2024</u>		<u>June 30, 2024</u>	
	<u>Notes receivable</u>	<u>Accounts receivable</u>	<u>Notes receivable</u>	<u>Accounts receivable</u>
Not past due	\$ 22,726	\$ 1,112,733	\$ 13,170	\$ 1,071,483
Up to 90 days	-	11,788	-	35,795
Over 91 days	-	2,206	-	5,307
	<u>\$ 22,726</u>	<u>\$ 1,126,727</u>	<u>\$ 13,170</u>	<u>\$ 1,112,585</u>

The above ageing analysis was based on past due date.

- C. As at June 30, 2025, December 31, 2024 and June 30, 2024, without taking into account any collateral held or other credit enhancements, the maximum exposure to credit risk in respect of the amount that best represents the Group's notes and accounts receivable were the book value at the balance sheet date.

D. Information relating to credit risk of notes receivable and accounts receivable is provided in Note 12(2).

(6) Other receivables

	<u>June 30, 2025</u>	<u>December 31, 2024</u>	<u>June 30, 2024</u>
Receipts under custody - Molds	\$ 95,146	\$ 119,594	\$ 100,436
Molds receivable	4,552	3,858	6,830
Others	<u>4,913</u>	<u>5,190</u>	<u>8,702</u>
	104,611	128,642	115,968
Less: Allowance for other receivables	<u>-</u>	<u>-</u>	<u>(6,015)</u>
	<u>\$ 104,611</u>	<u>\$ 128,642</u>	<u>\$ 109,953</u>

(7) Inventories

	<u>June 30, 2025</u>	<u>December 31, 2024</u>	<u>June 30, 2024</u>
Raw materials	\$ 97,689	\$ 106,401	\$ 97,498
Work in progress	69,892	71,955	60,173
Finished goods	<u>103,249</u>	<u>151,416</u>	<u>145,183</u>
	270,830	329,772	302,854
Less: Allowance for valuation loss	<u>(62,725)</u>	<u>(57,653)</u>	<u>(54,449)</u>
	<u>\$ 208,105</u>	<u>\$ 272,119</u>	<u>\$ 248,405</u>

The cost of inventories recognized as expense for the year:

<u>Three months ended June 30,</u>			
	<u>2025</u>	<u>2024</u>	
Cost of inventories sold	\$ 728,057	\$ 691,913	
Loss (gain) on decline in market value	4,886	(1,847)	
Loss on disposal of inventory	5,406	5,342	
Revenue from sale of scraps	<u>(17,913)</u>	<u>(19,740)</u>	
	<u>\$ 720,436</u>	<u>\$ 675,668</u>	
<u>Six months ended June 30,</u>			
	<u>2025</u>	<u>2024</u>	
Cost of inventories sold	\$ 1,503,115	\$ 1,354,038	
Loss (gain) on decline in market value	8,920	(5,464)	
Loss on disposal of inventory	9,114	12,990	
Revenue from sale of scraps	<u>(35,089)</u>	<u>(37,772)</u>	
	<u>\$ 1,486,060</u>	<u>\$ 1,323,792</u>	

During the period from January 1 to June 30, 2025 and 2024, the Group realized recovery gains as a result of the sale and put into production of previously impaired and stagnant inventory.

(8) Property, plant and equipment

	2025								
	Land	Buildings and structures	Machinery and equipment	Transportation equipment	Office equipment	Leasehold improvements	Other equipment	Construction in progress	Total
At January 1									
Cost	\$ 313,143	\$ 1,150,187	\$ 1,154,975	\$ 26,217	\$ 15,246	\$ 23,195	\$ 198,257	\$ 32,277	\$ 2,913,497
Accumulated depreciation	- (	600,095)	(826,796)	(19,235)	(12,297)	(14,608)	(161,526)	-	(1,634,557)
Accumulated impairment	- (	14,674)	(20,824)	-	(416)	-	(303)	-	(36,217)
	<u>\$ 313,143</u>	<u>\$ 535,418</u>	<u>\$ 307,355</u>	<u>\$ 6,982</u>	<u>\$ 2,533</u>	<u>\$ 8,587</u>	<u>\$ 36,428</u>	<u>\$ 32,277</u>	<u>\$ 1,242,723</u>
Opening net book amount as at January 1	\$ 313,143	\$ 535,418	\$ 307,355	\$ 6,982	\$ 2,533	\$ 8,587	\$ 36,428	\$ 32,277	\$ 1,242,723
Additions	-	2,996	6,747	46	95	442	3,906	87,367	101,599
Disposal	-	- (	1,196)	- (	27)	-	-	- (	1,223)
Depreciation charge	- (	25,617)	(35,308)	(1,656)	(577)	(1,220)	(10,690)	- (	75,068)
Reclassifications	-	2,178	9,732	-	-	-	433 (	6,074)	6,269
Net exchange differences	- (	45,662)	(28,669)	(696)	(38)	-	(2,149)	(10,705)	(87,919)
Closing net book amount as at June 30	<u>\$ 313,143</u>	<u>\$ 469,313</u>	<u>\$ 258,661</u>	<u>\$ 4,676</u>	<u>\$ 1,986</u>	<u>\$ 7,809</u>	<u>\$ 27,928</u>	<u>\$ 102,865</u>	<u>\$ 1,186,381</u>
At June 30									
Cost	\$ 313,143	\$ 1,065,379	\$ 1,050,203	\$ 23,964	\$ 15,093	\$ 23,637	\$ 193,221	\$ 102,865	\$ 2,787,505
Accumulated depreciation	- (	581,392)	(773,971)	(19,288)	(12,691)	(15,828)	(164,990)	-	(1,568,160)
Accumulated impairment	- (	14,674)	(17,571)	-	(416)	-	(303)	-	(32,964)
	<u>\$ 313,143</u>	<u>\$ 469,313</u>	<u>\$ 258,661</u>	<u>\$ 4,676</u>	<u>\$ 1,986</u>	<u>\$ 7,809</u>	<u>\$ 27,928</u>	<u>\$ 102,865</u>	<u>\$ 1,186,381</u>

2024									
	Land	Buildings and structures	Machinery and equipment	Transportation equipment	Office equipment	Leasehold improvements	Other equipment	Construction in progress	Total
At January 1									
Cost	\$ 313,143	\$ 1,102,390	\$ 1,010,751	\$ 24,952	\$ 14,318	\$ 17,351	\$ 183,765	\$ 723	\$ 2,667,393
Accumulated depreciation	-	(534,877)	(803,275)	(19,171)	(12,694)	(12,733)	(154,183)	-	(1,536,933)
Accumulated impairment	-	(14,674)	(14,209)	-	-	-	-	-	(28,883)
	<u>\$ 313,143</u>	<u>\$ 552,839</u>	<u>\$ 193,267</u>	<u>\$ 5,781</u>	<u>\$ 1,624</u>	<u>\$ 4,618</u>	<u>\$ 29,582</u>	<u>\$ 723</u>	<u>\$ 1,101,577</u>
Opening net book amount as at January 1	\$ 313,143	\$ 552,839	\$ 193,267	\$ 5,781	\$ 1,624	\$ 4,618	\$ 29,582	\$ 723	\$ 1,101,577
Additions	-	9,068	28,823	-	492	2,414	10,188	28,327	79,312
Disposal	-	(1,344)	(1,170)	-	-	-	-	-	(2,514)
Depreciation charge	-	(27,087)	(31,849)	(1,277)	(522)	(839)	(9,679)	-	(71,253)
Impairment loss	-	-	(2,263)	-	-	-	-	-	(2,263)
Reclassifications	-	4,086	24,467	-	53	-	2,507	7,010	38,123
Net exchange differences	-	15,484	7,934	267	11	-	991	262	24,949
Closing net book amount as at June 30	<u>\$ 313,143</u>	<u>\$ 553,046</u>	<u>\$ 219,209</u>	<u>\$ 4,771</u>	<u>\$ 1,658</u>	<u>\$ 6,193</u>	<u>\$ 33,589</u>	<u>\$ 36,322</u>	<u>\$ 1,167,931</u>
At June 30									
Cost	\$ 313,143	\$ 1,141,037	\$ 1,039,531	\$ 25,875	\$ 13,844	\$ 19,765	\$ 196,048	\$ 36,322	\$ 2,785,565
Accumulated depreciation	-	(573,317)	(803,850)	(21,104)	(12,186)	(13,572)	(162,459)	-	(1,586,488)
Accumulated impairment	-	(14,674)	(16,472)	-	-	-	-	-	(31,146)
	<u>\$ 313,143</u>	<u>\$ 553,046</u>	<u>\$ 219,209</u>	<u>\$ 4,771</u>	<u>\$ 1,658</u>	<u>\$ 6,193</u>	<u>\$ 33,589</u>	<u>\$ 36,322</u>	<u>\$ 1,167,931</u>

- A. Amount of borrowing costs capitalized as part of property, plant and equipment and the range of the interest rates for such capitalization: None.
- B. The significant components of buildings and structures include main plants and engineering systems, which are depreciated over 8~36 years and 5~25 years, respectively.
- C. Information about the property, plant and equipment that were pledged to others as collateral is provided in Note 8.
- D. The amount of reclassifications for the six months ended June 30, 2025 and 2024 was reclassified from other non-current assets to property, plant and equipment.

(9) Leasing arrangements — lessee

- A. The Group leases various assets including land, buildings, business vehicles, and multifunction printers. Rental contracts for land are typically made for periods of 46 to 50 years, while the others are made for periods of 1 to 5 years. Lease terms are negotiated on an individual basis and contain a wide range of different terms and conditions. The lease agreements do not impose covenants, but leased assets may not be used as security for borrowing purposes.
- B. Short-term leases with a lease term of 12 months or less comprise leasing of warehouse, office, and business vehicles. Low-value assets comprise leasing of multifunction printers. The abovementioned leases were excluded from right-of-use assets.
- C. The carrying amount of right-of-use assets and the depreciation charge are as follows:

	Carrying amount		
	June 30, 2025	December 31, 2024	June 30, 2024
Land	\$ 61,114	\$ 73,688	\$ 74,112
Buildings	29,776	40,816	56,205
Business vehicles	2,890	2,992	3,453
	<u>\$ 93,780</u>	<u>\$ 117,496</u>	<u>\$ 133,770</u>

	Depreciation charge	
	Three months ended June 30,	
	2025	2024
Land	\$ 404	\$ 455
Buildings	5,278	7,237
Business vehicles	463	390
	<u>\$ 6,145</u>	<u>\$ 8,082</u>

	Depreciation charge	
	Six months ended June 30,	
	2025	2024
Land	\$ 854	\$ 901
Buildings	10,663	14,388
Business vehicles	824	780
	<u>\$ 12,341</u>	<u>\$ 16,069</u>

- D. For the three months and six months ended June 30, 2025 and 2024, the additions to right-of-use assets were \$949, \$0, \$1,506 and \$14,356, respectively.

E. The information on profit and loss accounts relating to lease contracts is as follows:

		Three months ended June 30,	
		2025	2024
<u>Items affecting profit or loss</u>			
Interest expense on lease liabilities	\$	218	\$ 409
Expense on short-term lease contracts		3,046	2,707
Expense on leases of low-value assets		15	13
Expense on variable lease payments		343	127
Profit from lease modification		3	-
		Six months ended June 30,	
		2025	2024
<u>Items affecting profit or loss</u>			
Interest expense on lease liabilities	\$	456	\$ 849
Expense on short-term lease contracts		6,151	5,246
Expense on leases of low-value assets		29	30
Expense on variable lease payments		550	302
Profit from lease modification		3	-

F. For the three months and six months ended June 30, 2025 and 2024, the Group's total cash outflow for leases were \$7,743, \$7,492, \$15,302 and \$14,868, respectively.

G. Variable lease payments

Some of the Group's lease contracts contain variable lease payment terms that are linked to distance and hours which were used. Various lease payments that depend on distance and hours are recognized in profit or loss in the period in which the event or condition that triggers those payments occurs.

(10) Intangible asset

		2025			
		Patent Right	Goodwill	Others	Total
At January 1					
Cost	\$	24,100	\$ 45,247	\$ 7,639	\$ 76,986
Accumulated amortization	(	4,208)	-	-	(4,208)
Accumulated impairment		-	(14,916)	-	(14,916)
	\$	<u>19,892</u>	<u>30,331</u>	<u>7,639</u>	<u>57,862</u>
At January 1					
Cost	\$	19,892	\$ 30,331	\$ 7,639	\$ 57,862
Additions		-	-	543	543
Amortization charge	(	1,202)	-	(809)	(2,011)
At June 30	\$	<u>18,690</u>	<u>30,331</u>	<u>7,373</u>	<u>56,394</u>
At June 30					
Cost	\$	24,100	\$ 45,247	\$ 8,182	\$ 77,529
Accumulated amortization	(	5,410)	-	(809)	(6,219)
		-	(14,916)	-	(14,916)
	\$	<u>18,690</u>	<u>30,331</u>	<u>7,373</u>	<u>56,394</u>

	2024		
	Patent Right	Goodwill	Total
At January 1			
Cost	\$ 24,100	\$ 45,247	\$ 69,347
Accumulated amortization	(1,802)	-	(1,802)
	<u>\$ 22,298</u>	<u>\$ 45,247</u>	<u>\$ 67,545</u>
At January 1	\$ 22,298	\$ 45,247	\$ 67,545
Amortization charge	(1,203)	-	(1,203)
At June 30	<u>\$ 21,095</u>	<u>\$ 45,247</u>	<u>\$ 66,342</u>
At June 30			
Cost	\$ 24,100	\$ 45,247	\$ 69,347
Accumulated amortization	(3,005)	-	(3,005)
	<u>\$ 21,095</u>	<u>\$ 45,247</u>	<u>\$ 66,342</u>

A. The amounts recognized in amortization charge are listed below:

	Three months ended June 30, 2025	Three months ended June 30, 2024
General and administrative expenses	<u>\$ 1,017</u>	<u>\$ 602</u>
	Six months ended June 30, 2025	Six months ended June 30, 2024
General and administrative expenses	<u>\$ 2,011</u>	<u>\$ 1,203</u>

B. Amount of borrowing costs capitalized as part of intangible assets and the range of the interest rates for such capitalization: None.

C. The information regarding the consideration paid for the acquisition of eBio International Group and recognition of goodwill, please refer to Note 6(30).

D. Goodwill is allocated to the Group's cash-generating units identified by operating segments.

	June 30, 2025	June 30, 2024
Medical businesses	<u>\$ 30,331</u>	<u>\$ 45,247</u>

E. The recoverable amount is assessed based on value in use which is calculated using pre-tax cash flow forecasts from five-year financial budgets approved by management. The Group's recoverable amount calculated based on value in use exceeds the book value, so no impairment of goodwill has occurred. The key assumptions for the calculation of value in use, please refer to Note 6(11) in the consolidated financial statements for the year ended December 31, 2024.

F. The Group has no intangible assets pledged to others.

(11) Short-term borrowings

<u>Type of borrowings</u>	<u>June 30, 2025</u>	<u>Interest rate range</u>	<u>Collateral</u>
Bank borrowings			
Unsecured borrowings	\$ <u>45,000</u>	2.06%~2.10%	None
<u>Type of borrowings</u>	<u>December 31, 2024</u>	<u>Interest rate range</u>	<u>Collateral</u>
Bank borrowings			
Unsecured borrowings	\$ <u>45,000</u>	2.09%~2.015%	None
<u>Type of borrowings</u>	<u>June 30, 2024</u>	<u>Interest rate range</u>	<u>Collateral</u>
Bank borrowings			
Unsecured borrowings	\$ <u>45,000</u>	2.01%~2.03%	None

(12) Accounts payable

	<u>June 30, 2025</u>	<u>December 31, 2024</u>	<u>June 30, 2024</u>
Accounts payable	\$ 486,240	\$ 543,732	\$ 522,791
Estimated accounts payable	<u>86,489</u>	<u>60,567</u>	<u>62,146</u>
	<u>\$ 572,729</u>	<u>\$ 604,299</u>	<u>\$ 584,937</u>

(13) Other payables

	<u>June 30, 2025</u>	<u>December 31, 2024</u>	<u>June 30, 2024</u>
Salaries and bonus payable	\$ 73,356	\$ 113,397	\$ 80,336
Insurance payable	68,114	74,948	72,747
Mold cost payable	32,175	51,116	38,636
Equipment payable	15,038	17,593	21,281
Payable upon distribution of cash from capital surplus	-	-	44,132
Dividends payable	-	-	44,132
Others	<u>70,409</u>	<u>84,134</u>	<u>80,916</u>
	<u>\$ 259,092</u>	<u>\$ 341,188</u>	<u>\$ 382,180</u>

(14) Long-term borrowings

<u>Type of borrowings</u>	<u>Borrowing period and repayment term</u>	<u>Interest rate range</u>	<u>Collateral</u>	<u>June 30, 2025</u>
Installment-repayment borrowings				
Secured borrowings	Borrowing period is from December 28, 2021 to December 28, 2028; interest is payable monthly.	1.97%	Please refer to Note 8	\$ 175,000
Less: Current portion				(<u>50,000</u>)
				<u>\$ 125,000</u>

<u>Type of borrowings</u>	<u>Borrowing period and repayment term</u>	<u>Interest rate range</u>	<u>Collateral</u>	<u>December 31, 2024</u>
Installment-repayment borrowings				
Secured borrowings	Borrowing period is from December 28, 2021 to December 28, 2028; interest is payable monthly.	1.97%	Please refer to Note 8	\$ 200,000
Less: Current portion				(50,000)
				<u>\$ 150,000</u>

<u>Type of borrowings</u>	<u>Borrowing period and repayment term</u>	<u>Interest rate range</u>	<u>Collateral</u>	<u>June 30, 2024</u>
Installment-repayment borrowings				
Secured borrowings	Borrowing period is from December 28, 2021 to December 28, 2028; interest is payable monthly.	1.97%	Please refer to Note 8	\$ 225,000
Less: Current portion				(50,000)
				<u>\$ 175,000</u>

(15) Pensions

A. Defined benefit pension plan

- (a) The Company has a defined benefit pension plan in accordance with the Labor Standards Law, covering all regular employees' service years prior to the enforcement of the Labor Pension Act on July 1, 2005 and service years thereafter of employees who chose to continue to be subject to the pension mechanism under the Law. Under the defined benefit pension plan, two units are accrued for each year of service for the first 15 years and one unit for each additional year thereafter, subject to a maximum of 45 units. Pension benefits are based on the number of units accrued and the average monthly salaries and wages of the last 6 months prior to retirement. The Company contributes monthly an amount equal to 2% of the employees' monthly salaries and wages to the retirement fund deposited with Bank of Taiwan, the trustee, under the name of the independent retirement fund committee. Also, the Company would assess the balance in the aforementioned labor pension reserve account by the end of December 31, every year. If the account balance is insufficient to pay the pension calculated by the aforementioned method to the employees expected to qualify for retirement in the following year, the Company will make contributions for the deficit by next March.
- (b) For the aforementioned pension plan, the Group recognized pension costs of (\$45), (\$28), (\$91) and (\$57) for the three months and six months ended June 30, 2025 and 2024, respectively.

- (c) The Company has acquired the approval from the Hsinchu County Government to suspend continuous contribution to the defined benefit pension plan for 2025 and 2024.
- (d) The Company has a long-term employee benefits plan, under which employees are rewarded with a bonus, a certificate of appreciation, or a trophy upon completing every five years of service. For the employee benefits plan, the Company recognised pension costs of \$227, \$211, \$453 and \$423 for the three months and six months ended June 30, 2025 and 2024, respectively.

B. Defined contribution pension plan

- (a) Effective July 1, 2005, the Company and its domestic subsidiaries have established a defined contribution pension plan (the “New Plan”) under the Labor Pension Act (the “Act”), covering all regular employees with R.O.C. nationality. Under the New Plan, the Company and its domestic subsidiaries contribute monthly an amount based on 6% of the employees’ monthly salaries and wages to the employees’ individual pension accounts at the Bureau of Labor Insurance. The benefits accrued are paid monthly or in lump sum upon termination of employment.
- (b) The Company’s mainland China subsidiaries have a defined contribution plan. Monthly contributions to an independent fund administered by the government in accordance with the pension regulations in the People’s Republic of China (PRC) are based on certain percentage of employees’ monthly salaries and wages. The contribution for each employee was planned by PRC government. Other than the monthly contributions, the Group has no further obligations.
- (c) The pension costs under the defined contribution pension plans of the Group for the three months and six months ended June 30, 2025 and 2024 were \$9,450, \$8,413, \$17,677 and \$16,597, respectively.

(16) Share capital

- A. As of June 30, 2025, the Company’s authorized capital was \$2,000,000, consisting of 200,000 thousand shares of ordinary stock, and the paid-in capital was \$892,631 with a par value of \$10 (in dollars) per share. All proceeds from shares issued have been collected.

Movements in the number of the Company’s ordinary shares in thousands outstanding are as follows:

	<u>2025</u>	<u>2024</u>
At January 1	88,263	89,263
Treasury stock buyback	<u>-</u>	<u>(1,000)</u>
At June 30	<u><u>88,263</u></u>	<u><u>88,263</u></u>

B. On March 25, 2025, the shareholders' meeting resolved not to proceed with the previously approved private placement of up to 15,000 thousand common shares or domestic convertible corporate bonds, as resolved in the shareholders' meeting on May 24, 2024. As of March 25, 2025, no private placement of common shares or domestic convertible corporate bonds had been executed under this fundraising plan.

C. Treasury Shares

(a) The Company's Board of Directors approved a share buyback program on December 22, 2023 to repurchase 1,000 thousand shares during the period from December 25, 2023 to February 23, 2024. The repurchase price range is between NT\$16.65 and NT\$35.35 per share. Details are summarized below:

		June 30, 2025	
<u>Name of company holding the shares</u>	<u>Reason for reacquisition</u>	<u>Number of shares (In thousands)</u>	<u>Carrying amount</u>
The Company	To be reissued to employees	1,000	\$ 25,619
		December 31, 2024	
<u>Name of company holding the shares</u>	<u>Reason for reacquisition</u>	<u>Number of shares (In thousands)</u>	<u>Carrying amount</u>
The Company	To be reissued to employees	1,000	\$ 25,619
		June 30, 2024	
<u>Name of company holding the shares</u>	<u>Reason for reacquisition</u>	<u>Number of shares (In thousands)</u>	<u>Carrying amount</u>
The Company	To be reissued to employees	1,000	\$ 25,619

(b) Pursuant to the R.O.C. Securities and Exchange Act, the number of shares bought back as treasury share should not exceed 10% of the number of the Company's issued and outstanding shares and the amount bought back should not exceed the sum of retained earnings, paid-in capital in excess of par value and realized capital surplus.

(c) Pursuant to the R.O.C. Securities and Exchange Act, treasury shares should not be pledged as collateral and is not entitled to dividends before it is reissued.

(d) Pursuant to the R.O.C. Securities and Exchange Act, treasury shares should be reissued to the employees within five years from the reacquisition date and shares not reissued within the five-year period are to be retired. Treasury shares to enhance the Company's credit rating and the stockholders' equity should be retired within six months of acquisition.

(17) Capital surplus

	<u>June 30, 2025</u>	<u>December 31, 2024</u>	<u>June 30, 2024</u>
Share premium	\$ 1,461,724	\$ 1,505,856	\$ 1,505,856
From business combinations	31,797	31,797	31,797
Treasury share transactions	76,571	76,571	76,571
Changes in ownership interests in subsidiaries	-	7,906	7,906
	<u>\$ 1,570,092</u>	<u>\$ 1,622,130</u>	<u>\$ 1,622,130</u>

- A. Pursuant to the R.O.C. Company Act, capital surplus arising from paid-in capital in excess of par value on issuance of common stocks and donations can be used to cover accumulated deficit or to issue new stocks or cash to shareholders in proportion to their share ownership, provided that the Company has no accumulated deficit. Further, the R.O.C. Securities and Exchange Act requires that the amount of capital surplus to be capitalized mentioned above should not exceed 10% of the paid-in capital each year. Capital surplus should not be used to cover accumulated deficit unless the legal reserve is insufficient.
- B. On April 9, 2024, the company's board of directors resolved a cash distribution of \$44,132 from the capital surplus (\$0.5 per share)
- C. On March 25, 2025, the company's board of directors resolved a cash distribution of \$44,132 from the capital surplus (\$0.5 per share).

(18) Retained earnings

- A. Under the Company's Articles of Incorporation, the current year's earnings, if any, shall first be used to pay all taxes and offset prior years' operating losses, set aside 10% of the remaining amount as legal reserve, then set aside or reverse a special reserve according to relevant regulations when necessary. The remainder, if any, to be retained or to be appropriated shall be proposed by the Board of Directors and resolved by the shareholders at the shareholders' meeting. The Board of Directors is authorized to distribute all or part of the dividends and bonuses, capital surplus or legal reserve that should be distributed in cash by a resolution approved by more than half of the directors present at a meeting with the presence of more than two-thirds of the directors. Such provisions does not require approval by the shareholders.
- B. The Company's dividend policy is summarized below: as the Company is in the stable growth stage, the residual dividend policy is adopted taking into consideration the Company's future capital expenditure plans and the financial structure. According to the dividend policy adopted by the Board of Directors, at least 1% of the Company's distributable earnings as of the end of the period shall be appropriated as cash or stock dividends, of which not more than 60% shall be paid in stock.

C. Except for covering accumulated deficit or issuing new stocks or cash to shareholders in proportion to their share ownership, the legal reserve shall not be used for any other purpose. The use of legal reserve for the issuance of stocks or cash to shareholders in proportion to their share ownership is permitted, provided that the distribution of the reserve is limited to the portion in excess of 25% of the Company's paid-in capital.

D. Special reserve

- (a) In accordance with the regulations, the Company shall set aside special reserve from the debit balance on other equity items at the balance sheet date before distributing earnings. When debit balance on other equity items is reversed subsequently, the reversed amount could be included in the distributable earnings.
- (b) The amounts previously set aside by the Company as special reserve on initial application of IFRSs in accordance with Order No. Financial-Supervisory-Securities-Corporate-1090150022, dated March 31, 2021, shall be reversed proportionately when the relevant assets are used, disposed of or reclassified subsequently.

E. Appropriation of earnings (Offsetting of losses)

- (a) The appropriations of 2023 earnings had been resolved at the annual shareholders' meeting on May 24, 2024. Details are summarized below:

	2023	
	Amount	Dividends per share (in dollars)
Legal reserve	\$ 7,869	
Special reserve	7,080	
Cash dividends	44,132	\$ 0.50

- (b) The offsetting of 2024 losses had been proposed at the Board of Directors' meeting on May 15, 2025. Details are summarized below:

	2024	
	Amount	Dividends per share (in dollars)
Legal reserve cover losses	(\$ 9,727)	
Reversal of special reserve	(89,208)	

(19) Other equity items

	2025		
	Unrealized gains (losses) on valuation	Currency translation	Total
At January 1	\$ -	(\$ 280,708)	(\$ 280,708)
Currency translation differences:			
–Group	-	(215,045)	(215,045)
At June 30	<u>\$ -</u>	<u>(\$ 495,753)</u>	<u>(\$ 495,753)</u>

	2024		
	Unrealized gains (losses) on valuation	Currency translation	Total
At January 1	\$ -	(\$ 369,916)	(\$ 369,916)
Currency translation differences:			
–Group	-	83,417	83,417
At June 30	<u>\$ -</u>	<u>(\$ 286,499)</u>	<u>(\$ 286,499)</u>

(20) Operating revenue

	Three months ended June 30,	
	2025	2024
Revenue from contracts with customers	<u>\$ 821,557</u>	<u>\$ 789,765</u>

	Six months ended June 30,	
	2025	2024
Revenue from contracts with customers	<u>\$ 1,711,970</u>	<u>\$ 1,549,430</u>

A. Disaggregation of revenue from contracts with customers

The Group derives revenue from the transfer of goods at a point in time in the following geographical regions:

Three months ended June 30, 2025	Domestic	Asia	Total
Total segment revenue	\$ 330,989	\$ 524,054	\$ 855,043
Inter-segment revenue	(425)	(33,061)	(33,486)
Revenue from external customer contracts	<u>\$ 330,564</u>	<u>\$ 490,993</u>	<u>\$ 821,557</u>

Three months ended June 30, 2024	Domestic	Asia	Total
Total segment revenue	\$ 260,463	\$ 540,577	\$ 801,040
Inter-segment revenue	(654)	(10,621)	(11,275)
Revenue from external customer contracts	<u>\$ 259,809</u>	<u>\$ 529,956</u>	<u>\$ 789,765</u>

<u>Six months ended June 30, 2025</u>	<u>Domestic</u>	<u>Asia</u>	<u>Total</u>
Total segment revenue	\$ 673,229	\$ 1,091,987	\$ 1,765,216
Inter-segment revenue	(2,433)	(50,813)	(53,246)
Revenue from external customer contracts	<u>\$ 670,796</u>	<u>\$ 1,041,174</u>	<u>\$ 1,711,970</u>
<u>Six months ended June 30, 2024</u>	<u>Domestic</u>	<u>Asia</u>	<u>Total</u>
Total segment revenue	\$ 509,627	\$ 1,061,830	\$ 1,571,457
Inter-segment revenue	(4,079)	(17,948)	(22,027)
Revenue from external customer contracts	<u>\$ 505,548</u>	<u>\$ 1,043,882</u>	<u>\$ 1,549,430</u>

B. Contract liabilities

(a) The Group has recognized the following revenue-related contract liabilities:

	<u>June 30, 2025</u>	<u>December 31, 2024</u>	<u>June 30, 2024</u>	<u>January 1, 2024</u>
Contract liabilities:	<u>\$ 1,999</u>	<u>\$ 1,900</u>	<u>\$ 12,781</u>	<u>\$ 4,082</u>

(b) Revenue recognized that was included in the contract liability balance at the beginning of the year is summarized below:

	<u>Three months ended June 30,</u>	
	<u>2025</u>	<u>2024</u>
Revenue recognized	<u>\$ -</u>	<u>\$ -</u>
	<u>Six months ended June 30,</u>	
	<u>2025</u>	<u>2024</u>
Revenue recognized	<u>\$ -</u>	<u>\$ 442</u>

(21) Interest income

	<u>Three months ended June 30,</u>	
	<u>2025</u>	<u>2024</u>
Interest income from bank deposits	\$ 2,630	\$ 4,455
Interest income from financial assets at amortized cost	1	1,855
Other interest income	35	15
	<u>\$ 2,666</u>	<u>\$ 6,325</u>
	<u>Six months ended June 30,</u>	
	<u>2025</u>	<u>2024</u>
Interest income from bank deposits	\$ 6,223	\$ 8,322
Interest income from financial assets at amortized cost	2	4,105
Other interest income	50	36
	<u>\$ 6,275</u>	<u>\$ 12,463</u>

(22) Other income

	Three months ended June 30,	
	2025	2024
Subsidy income	\$ 28	\$ 1,242
Solar revenue	578	558
Molds revenue	1,369	239
Other income	1,009	1,409
	<u>\$ 2,984</u>	<u>\$ 3,448</u>
	Six months ended June 30,	
	2025	2024
Subsidy income	\$ 1,323	\$ 1,377
Solar revenue	951	990
Molds revenue	2,075	952
Other income	2,194	2,807
	<u>\$ 6,543</u>	<u>\$ 6,126</u>

(23) Other gains and losses

	Three months ended June 30,	
	2025	2024
Gain (loss) on disposal of property, plant and equipment	\$ 556	(\$ 943)
Profit from lease modification	3	-
Impairment loss recognized in profit or loss, property, plant and equipment	-	(2,263)
Foreign exchange (loss) gains	(28,744)	6,873
Gain (loss) on financial assets and liabilities at fair value through profit or loss	10,638	(8,272)
Miscellaneous disbursements	(35)	(579)
	<u>(\$ 17,582)</u>	<u>(\$ 5,184)</u>
	Six months ended June 30,	
	2025	2024
Gain on disposal of property, plant and equipment	\$ 556	1,890
Profit from lease modification	3	-
Impairment loss recognized in profit or loss, property, plant and equipment	-	(2,263)
Foreign exchange (loss) gains	(21,591)	26,541
Gain (loss) on financial assets and liabilities at fair value through profit or loss	5,983	(20,794)
Miscellaneous disbursements	(657)	(560)
	<u>(\$ 15,706)</u>	<u>\$ 4,814</u>

(24) Finance costs

	Three months ended June 30,	
	2025	2024
Interest expense from bank borrowings	\$ 1,130	\$ 1,373
Interest expense from lease liabilities	218	409
	<u>\$ 1,348</u>	<u>\$ 1,782</u>
	Six months ended June 30,	
	2025	2024
Interest expense from bank borrowings	\$ 2,329	\$ 2,735
Interest expense from lease liabilities	456	849
	<u>\$ 2,785</u>	<u>\$ 3,584</u>

(25) Expenses by nature

	Three months ended June 30,	
	2025	2024
Employee benefit expense		
Wages and salaries	\$ 172,026	\$ 172,222
Labour and health insurance fees	14,011	12,979
Pension costs	9,632	8,596
Other personnel expenses	9,621	9,524
	<u>\$ 205,290</u>	<u>\$ 203,321</u>
Depreciation charges on property, plant and equipment	\$ 36,305	\$ 36,144
Depreciation charges on right-of-use assets	6,145	8,082
Amortization charges on intangible asset	1,017	602
Amortization charges on molds	2,308	3,057
	Six months ended June 30,	
	2025	2024
Employee benefit expense		
Wages and salaries	\$ 340,762	\$ 335,305
Labour and health insurance fees	27,426	26,477
Pension costs	18,039	16,963
Other personnel expenses	20,256	19,984
	<u>\$ 406,483</u>	<u>\$ 398,729</u>
Depreciation charges on property, plant and equipment	\$ 75,068	\$ 71,253
Depreciation charges on right-of-use assets	12,341	16,069
Amortization charges on intangible asset	2,011	1,203
Amortization charges on molds	5,158	6,313

(26) Employee benefit expense

- A. In accordance with the Articles of Incorporation of the Company, a ratio of profit before tax, before the distribution of employees' compensation and directors' remuneration, of the current year, after covering accumulated losses, shall be distributed as employees' compensation and directors' remuneration. The ratio shall not be lower than 8% for employees' compensation and shall not be higher than 3% for directors' remuneration. Employees' compensation may be paid in the form of shares or in cash, and employees from affiliated companies who meet certain conditions are entitled to the distribution.
- B. For the three months and six months ended June 30, 2025 and 2024, the Company had a net loss before income tax, therefore, the Company did not accrue employees' compensation and directors' remuneration at the end of reporting period.
- C. Information about employees' compensation and directors' remuneration of the Company as resolved at the meeting of Board of Directors and Shareholders will be posted in the "Market Observation Post System" at the website of the Taiwan Stock Exchange.

(27) Income tax

A. Components of income tax expense

	<u>Three months ended June 30,</u>	
	<u>2025</u>	<u>2024</u>
Current tax:		
Current tax for the period	\$ 5,674	\$ 39,049
Prior year income tax (over) under estimation	(13)	8,030
Total current tax	<u>5,661</u>	<u>47,079</u>
Deferred tax:		
Origination and reversal of temporary differences	<u>7,212</u>	(46,607)
Income tax expense	<u>\$ 12,873</u>	<u>\$ 472</u>
	<u>Six months ended June 30,</u>	
	<u>2025</u>	<u>2024</u>
Current tax:		
Current tax for the period	\$ 24,036	\$ 50,332
Prior year income tax under estimation	<u>391</u>	<u>8,030</u>
Total current tax	<u>24,427</u>	<u>58,362</u>
Deferred tax:		
Origination and reversal of temporary differences	(8,783)	(38,945)
Income tax expense	<u>\$ 15,644</u>	<u>\$ 19,417</u>

- B. The Company's income tax returns through 2022 have been assessed and approved by the Tax Authority.
- C. The domestic subsidiaries' income tax returns through 2023 have been assessed and approved by the Tax Authority.

(28) Loss per share

Three months ended June 30, 2025			
	Loss for the period	Weighted average number of ordinary shares outstanding (shares in thousands)	Loss per share (in dollars)
<u>Basic and diluted loss per share</u>			
Loss attributable to the parent	(\$ 44,646)	88,263	(\$ 0.51)
Three months ended June 30, 2024			
	Loss for the period	Weighted average number of ordinary shares outstanding (shares in thousands)	Loss per share (in dollars)
<u>Basic and diluted loss per share</u>			
Loss attributable to the parent	(\$ 7,395)	88,263	(\$ 0.08)
Six months ended June 30, 2025			
	Loss for the period	Weighted average number of ordinary shares outstanding (shares in thousands)	Loss per share (in dollars)
<u>Basic and diluted loss per share</u>			
Loss attributable to the parent	(\$ 36,679)	88,263	(\$ 0.42)
Six months ended June 30, 2024			
	Loss for the period	Weighted average number of ordinary shares outstanding (shares in thousands)	Loss per share (in dollars)
<u>Basic and diluted loss per share</u>			
Loss attributable to the parent	(\$ 27,715)	88,351	(\$ 0.31)

(29) Supplemental cash flow information

A. Investing activities with partial cash payments:

Six months ended June 30,		
	2025	2024
Purchase of property, plant and equipment	\$ 101,599	\$ 79,312
Add: Opening balance of payable on equipment	17,593	11,381
Opening balance of payable on construction	696	627
Less: Ending balance of payable on equipment	(15,038)	(21,281)
Ending balance of payable on construction	(197)	(4,409)
Cash paid during the year	<u>\$ 104,653</u>	<u>\$ 65,630</u>

B. Financing activities which have an impact on cash flow:

		Six months ended June 30,				
		2025		2024		
Dividends payable		\$ -		\$ 88,264		
(30) <u>Changes in liabilities from financing activities</u>						
		2025				
		Short-term	Long-term	Lease	Guarantee	
		<u>borrowings</u>	<u>borrowings</u>	<u>liabilities</u>	<u>deposit</u>	
					<u>received</u>	
					<u>Total</u>	
At January 1		\$ 45,000	\$ 200,000	\$ 41,158	\$ 1,375	\$ 287,533
Changes in cash flow from financing activities		-	(25,000)	(8,572)	-	(33,572)
Changes in other non-cash items		-	-	1,962	-	1,962
Impact of changes in foreign exchange rate		-	-	(1,104)	(59)	(1,163)
At June 30		<u>\$ 45,000</u>	<u>\$ 175,000</u>	<u>\$ 33,444</u>	<u>\$ 1,316</u>	<u>\$ 254,760</u>
		2024				
		Short-term	Long-term	Lease	Guarantee	
		<u>borrowings</u>	<u>borrowings</u>	<u>liabilities</u>	<u>deposit</u>	
					<u>received</u>	
					<u>Total</u>	
At January 1		\$ 45,000	\$ 257,633	\$ 54,997	\$ 1,192	\$ 358,822
Changes in cash flow from financing activities		-	(32,633)	(9,290)	161	(41,762)
Changes in other non-cash items		-	-	15,205	-	15,205
Impact of changes in foreign exchange rate		-	-	789	22	811
At June 30		<u>\$ 45,000</u>	<u>\$ 225,000</u>	<u>\$ 61,701</u>	<u>\$ 1,375</u>	<u>\$ 333,076</u>

7. Related Party Transactions

(1) Names of related parties and relationship

<u>Names of related parties</u>	<u>Relationship with the Group</u>
Shin Zu Shing Co., Ltd.	Other related party

(2) Significant related party transactions

A. Operating revenue:

		<u>Three months ended June 30,</u>	
		<u>2025</u>	<u>2024</u>
Sales of goods:			
Other related parties		\$ 140	\$ 1,712

		Six months ended June 30,	
		2025	2024
Sales of goods:			
Other related parties	\$	<u>1,643</u>	<u>\$ 2,528</u>

There is no significant difference between the sales price and credit terms from non-related parties.

B. Lease transactions-lessee

(a) The Company leases a property from Shin Zu Shing Co., Ltd., with a lease term from January 1 to December 31, 2023. The monthly rental, management fees, and other expenses advanced by related parties are paid on a monthly basis. The lease agreement includes a priority right of renewal. Based on our medium-term operational planning period of 3 years, the right-of-use asset acquired amounts to \$44,436. The amount does not exceed the price assessed according to the “Regulations Governing the Acquisition and Disposal of Assets by Public Companies”, which is \$46,657.

(b) On December 22, 2023, by resolution of the Board of Directors, the Company has decided to re-sign the building lease agreement with Shin Zu Shing Co., Ltd. The lease period is from January 1, 2024 to December 31, 2026, and the Company will have the preferential lease right upon expiration. The estimated increase in right-of-use assets will be \$14,356. Book value after addition to \$43,980, The amount does not exceed the price assessed according to the “Regulations Governing the Acquisition and Disposal of Assets by Public Companies”, which is \$46,401.

(c) Right-of-use assets

A. Carrying amount

	June 30, 2025	December 31, 2024	June 30, 2024
Shin Zu Shing Co., Ltd.	<u>\$ 22,407</u>	<u>\$ 29,320</u>	<u>\$ 36,649</u>

B. Depreciation charge

		Three months ended June 30,	
		2025	2024
Shin Zu Shing Co., Ltd.	\$	<u>3,734</u>	<u>\$ 3,664</u>

		Six months ended June 30,	
		2025	2024
Shin Zu Shing Co., Ltd.s	\$	<u>7,469</u>	<u>\$ 7,330</u>

(d) Lease liabilities

A. Carrying amount

	June 30, 2025	December 31, 2024	June 30, 2024
Shin Zu Shing Co., Ltd.	<u>\$ 22,820</u>	<u>\$ 29,725</u>	<u>\$ 36,991</u>

B. Interest expense

	Three months ended June 30,	
	2025	2024
Shin Zu Shing Co., Ltd.	\$ 122	\$ 178
	Six months ended June 30,	
	2025	2024
Shin Zu Shing Co., Ltd.	\$ 261	\$ 371

(e) Rent expense, administration expense and reimbursed expense

	Three months ended June 30,	
	2025	2024
Shin Zu Shing Co., Ltd.	\$ 758	\$ 695
	Six months ended June 30,	
	2025	2024
Shin Zu Shing Co., Ltd.	\$ 1,435	\$ 1,327

C. Receivable from related parties

	June 30, 2025	December 31, 2024	June 30, 2024
Accounts receivable: Other related parties	\$ -	\$ 2,549	\$ 1,506

D. Payables to related parties

	June 30, 2025	December 31, 2024	June 30, 2024
Other payables: Other related parties	\$ 459	\$ 217	\$ 223

(3) Key management compensation

	Three months ended June 30,	
	2025	2024
Short-term employee benefits	\$ 4,968	\$ 4,735
Post-employment benefits	115	135
	\$ 5,083	\$ 4,870
	Six months ended June 30,	
	2025	2024
Short-term employee benefits	\$ 10,101	\$ 10,166
Post-employment benefits	256	306
	\$ 10,357	\$ 10,472

8. Pledged Assets

The Group's assets pledged as collateral are as follows:

<u>Pledged asset</u>	<u>Book value</u>			<u>Purpose</u>
	<u>June 30, 2025</u>	<u>December 31, 2024</u>	<u>June 30, 2024</u>	
Financial assets at amortized cost - current	\$ 246	\$ 547	\$ 273	Bank secured borrowings and customs guarantee
Financial assets at amortized cost - non-current	348	-	-	Contract bond
Property, plant, and equipment				
Land	273,059	273,059	273,059	Bank secured borrowings
Buildings and structures	132,009	136,646	143,601	Bank secured borrowings
Other non-current assets				
Guarantee deposits paid	9,595	9,720	8,836	Rental deposit

9. Significant Contingent Liabilities and Unrecognised Contract Commitments

Commitments

As of June 30, 2025, the Group had opened unused letters of credit for importing inventories and equipment of \$10,045.

10. Significant Disaster Loss

None.

11. Significant Events after the Balance Sheet Date

- A. On August 13, 2025, the Board of Directors resolved to approve the issuance of the Company's first secured domestic convertible bonds, with a maximum of 4,000 units, each with a par value of NT\$100,000, for an aggregate principal amount of up to NT\$400 million. The bonds bear no interest (0% coupon rate) and have a maturity of three years.
- B. On August 13, 2025, the Board of Directors resolved to approve a cash capital increase of up to 21,000 thousand new common shares, each with a par value of NT\$10, representing an increase in share capital of up to NT\$210 million. The expected issue price per share is NT\$30.

12. Others

(1) Capital management

The current period did not involve significant transactions or material changes, please refer to Note 12 of the consolidated financial statements for the year ended December 31, 2024.

(2) Financial instruments

A. Financial instruments by category

	<u>June 30, 2025</u>	<u>December 31, 2024</u>	<u>June 30, 2024</u>
<u>Financial assets</u>			
Financial assets mandatorily measured at fair value through profit or loss (current and non-current)	\$ 37,192	\$ 30,477	\$ 33,124
Financial assets at fair value through other comprehensive income	8,430	8,778	8,745
Financial assets at amortized cost			
Cash and cash equivalents	726,491	1,120,889	1,208,386
Financial assets at amortized cost (current and non-current)	594	547	134,032
Notes receivable, net	29,792	22,726	13,170
Accounts receivable, net	1,037,367	1,124,521	1,107,278
Accounts receivable-related party	-	2,549	1,506
Other receivables	104,611	128,642	109,953
Finance lease receivable, net (current and non-current)	1,621	1,769	3,533
Guarantee deposits paid	<u>9,595</u>	<u>9,720</u>	<u>8,836</u>
	<u>\$ 1,955,693</u>	<u>\$ 2,450,618</u>	<u>\$ 2,628,563</u>
	<u>June 30, 2025</u>	<u>December 31, 2024</u>	<u>June 30, 2024</u>
<u>Financial liabilities</u>			
Financial liabilities mandatorily measured at fair value through profit or loss	\$ -	\$ 5,710	\$ 2,574
Financial liabilities at amortized cost			
Short-term borrowings	45,000	45,000	45,000
Accounts payable	572,729	604,299	584,937
Other payables	259,092	341,188	382,180
Other payables-related party	459	217	223
Long-term borrowings (including current portion)	175,000	200,000	225,000
Guarantee deposits received	<u>1,316</u>	<u>1,375</u>	<u>1,375</u>
	<u>\$ 1,053,596</u>	<u>\$ 1,197,789</u>	<u>\$ 1,241,289</u>
Lease liabilities (current and non-current)	<u>\$ 33,444</u>	<u>\$ 41,158</u>	<u>\$ 61,701</u>

B. Financial risk management policies

The current period did not involve significant transactions or material changes, please refer to Note 12 of the consolidated financial statements for the year ended December 31, 2024.

C. Significant financial risks and degrees of financial risks

(a) Market risk

Foreign exchange risk

- i. The Group engages in sales and purchases denominated in foreign currencies and are exposed to exchange rate fluctuations. The Group manages exchange rate risks within the scope permitted by the policy, using forward foreign exchange contracts to manage risks.
- ii. The Group's businesses involve some non-functional currency operations (the Company's and domestic subsidiaries' functional currency: NTD; other certain subsidiaries' functional currency: RMB, USD, and VND). The information on assets and liabilities denominated in foreign currencies whose values would be materially affected by the exchange rate fluctuations is as follows:

June 30, 2025			
(Foreign currency: functional currency)	Foreign currency amount		Book value
	<u>(In thousands)</u>	<u>Exchange rate</u>	<u>(NTD)</u>
<u>Financial assets</u>			
<u>Monetary items</u>			
USD:NTD	\$ 6,747	29.3000	\$ 197,687
USD:RMB	13,682	7.1586	400,883
USD:VND	2,531	26,090	74,158
<u>Financial liabilities</u>			
<u>Monetary items</u>			
USD:NTD	\$ 437	29.3000	\$ 12,804
USD:RMB	596	7.1586	17,463
USD:VND	3,886	26,090	113,860

December 31, 2024			
(Foreign currency: functional currency)	Foreign currency amount		Book value
	(In thousands)	Exchange rate	(NTD)
<u>Financial assets</u>			
<u>Monetary items</u>			
USD:NTD	\$ 6,852	32.7850	\$ 224,643
USD:RMB	13,428	7.1880	440,237
USD:VND	3,733	24,335	122,386
<u>Financial liabilities</u>			
<u>Monetary items</u>			
USD:NTD	\$ 489	32.7850	\$ 16,032
USD:RMB	2,242	7.1880	73,504
USD:VND	906	24,335	29,703
June 30, 2024			
(Foreign currency: functional currency)	Foreign currency amount		Book value
	(In thousands)	Exchange rate	(NTD)
<u>Financial assets</u>			
<u>Monetary items</u>			
USD:NTD	\$ 6,407	32.4500	\$ 207,907
USD:RMB	16,882	7.1268	547,821
USD:VND	4,036	24,260	130,968
<u>Financial liabilities</u>			
<u>Monetary items</u>			
USD:NTD	\$ 509	32.4500	\$ 16,517
USD:RMB	2,296	7.1268	74,505
USD:VND	1,298	24,260	42,120

- iii. Total exchange gains, including realized and unrealized, arising from significant foreign exchange variation on the monetary items held by the Group for the three months and six months ended June 30, 2025 and 2024, amounted to (\$28,744), \$6,873, (\$21,591), and \$26,541, respectively.

iv. Analysis of foreign currency market risk arising from significant foreign exchange variation:

Six months ended June 30, 2025				
Sensitivity analysis				
	Degree of variation	Effect on profit or loss	Effect on other comprehensive income	
(Foreign currency: functional currency)				
<u>Financial assets</u>				
<u>Monetary items</u>				
USD:NTD	1%	\$ 1,977	\$	-
USD:RMB	1%	4,009		-
USD:VND	1%	742		-
<u>Financial liabilities</u>				
<u>Monetary items</u>				
USD:NTD	1%	\$ 128	\$	-
USD:RMB	1%	175		-
USD:VND	1%	1,139		-

Six months ended June 30, 2024				
Sensitivity analysis				
	Degree of variation	Effect on profit or loss	Effect on other comprehensive income	
(Foreign currency: functional currency)				
<u>Financial assets</u>				
<u>Monetary items</u>				
USD:NTD	1%	\$ 2,079	\$	-
USD:RMB	1%	5,478		-
USD:VND	1%	1,310		-
<u>Financial liabilities</u>				
<u>Monetary items</u>				
USD:NTD	1%	\$ 165	\$	-
USD:RMB	1%	745		-
USD:VND	1%	421		-

Cash flow and fair value interest rate risk

- i. The Group's main interest rate risk arises from long-term borrowings with variable rates, which expose the Group to cash flow interest rate risk. For the six months ended June 30, 2025 and 2024, the Group's borrowings at variable rate were mainly denominated in New Taiwan dollars.

- ii. If the borrowing interest rate of New Taiwan dollars had increased/decreased by 4 basis points with all other variables held constant, profit, net of tax for the six months ended June 30, 2025 and 2024 would have increased/decreased by \$ 1,400 and \$ 1,800, respectively. The main factor is that changes in interest expense result from floating rate borrowings.

(b) Credit risk

- i. Credit risk refers to the risk that a counterparty will default on its contractual obligations resulting in financial loss to the Group. As at the end of the reporting period, the Group's maximum exposure to credit risk which will cause a financial loss to the Group due to default by the counterparties and financial guarantees provided by the Group arises from:
 - (i) The carrying amount of the respective recognized financial assets as stated in the balance sheets;
 - (ii) The amount of contingent liabilities in relation to financial guarantee issued by the Group.
- ii. In order to mitigate the credit risk, the Group will conduct credit rating for the transaction object and obtain sufficient security if necessary to mitigate the risk of financial loss due to default. If such information is not available, the Group will use other publicly available financial information and mutual transaction records to rate key customers. The Group will continue to monitor the credit risk and the credit rating of the counterparty through the determination of the credit line and the approval of the credit line. In addition, the Group reviews the recoverable amounts of receivables individually at the balance sheet date to ensure that appropriate impairment losses have been provided for unrecoverable receivables. Accordingly, the Group's management believes that the Group's credit risk has been significantly reduced.
- iii. The Group adopts the following assumption under IFRS 9 to assess whether there has been a significant increase in credit risk on that instrument since initial recognition: If the contract payments were past due over 90 days based on the terms, there has been a significant increase in credit risk on that instrument since initial recognition.
- iv. In line with credit risk management procedure, when there is evidence that the counterparty faces serious financial difficulties and the Group cannot reasonably expect to recover the amount, for example, the counterparty is in liquidation, the Group considers that the counterparty has signs of default.
- v. The Group wrote-off the financial assets, which cannot be reasonably expected to be recovered, after initiating recourse procedures. However, the Group will continue executing the recourse procedures to secure their rights.

vi. The Group applies the modified approach using a provision matrix to estimate expected credit loss under the provision matrix basis. Based on the Group's historical experience, there is no significant difference in the loss patterns among different customer groups. The provision matrix does not further differentiate customer groups, and only sets the expected credit loss rate based on the number of days overdue for receivable, except for individual cases that need to be evaluated separately.

vii. The Group used the forecastability to adjust historical and timely information to assess the default possibility of accounts receivable. On June 30, 2025, December 31, 2024 and June 30, 2024, the provision matrix is as follows:

<u>June 30, 2025</u>	<u>Expected loss rate</u>	<u>Total book value</u>	<u>Loss allowance</u>
Not past due	0%	\$ 1,011,011	\$ -
Up to 90 days	0%	26,356	-
Over 91 days	100%	<u>1,157</u>	<u>1,157</u>
		<u>\$ 1,038,524</u>	<u>\$ 1,157</u>

<u>December 31, 2024</u>	<u>Expected loss rate</u>	<u>Total book value</u>	<u>Loss allowance</u>
Not past due	0%	\$ 1,112,733	\$ -
Up to 90 days	0%	11,788	-
Over 91 days	100%	<u>2,206</u>	<u>2,206</u>
		<u>\$ 1,126,727</u>	<u>\$ 2,206</u>

<u>June 30, 2024</u>	<u>Expected loss rate</u>	<u>Total book value</u>	<u>Loss allowance</u>
Not past due	0%	\$ 1,071,483	\$ -
Up to 90 days	0%	35,795	-
Over 91 days	100%	<u>5,307</u>	<u>5,307</u>
		<u>\$ 1,112,585</u>	<u>\$ 5,307</u>

viii. Movements in relation to the Group applying the modified approach to provide loss allowance for accounts receivable and molds receivable are as follows:

	<u>2025</u>		
	<u>Accounts receivable</u>	<u>Molds receivable</u>	<u>Total</u>
At January 1	\$ 2,206	\$ -	\$ 2,206
Reversal of impairment loss	(1,026)	-	(1,026)
Effect of foreign rate exchange	(23)	-	(23)
At June 30	<u>\$ 1,157</u>	<u>\$ -</u>	<u>\$ 1,157</u>

	2024		
	Accounts receivable	Molds receivable	Total
At January 1	\$ 578	\$ 6,007	\$ 6,585
Provision for (reversal of) impairment loss	4,656	(290)	4,366
Effect of foreign rate exchange	73	298	371
At June 30	<u>\$ 5,307</u>	<u>\$ 6,015</u>	<u>\$ 11,322</u>

(c) Liquidity risk

- i. Cash flow forecasting is performed in the operating entities of the Group and aggregated by the Group's Corporate Treasury function. The Group's Corporate Treasury function monitors rolling forecasts of the Group's liquidity requirements to ensure it has sufficient cash to meet operational needs while maintaining sufficient headroom on its undrawn committed borrowing facilities at all times so that the Group does not breach borrowing limits or covenants on any of its borrowing facilities. Such forecasting takes into consideration the Group's debt financing plans, covenant compliance, compliance with internal balance sheet ratio targets and external regulatory or legal requirements.
- ii. The Group has the following undrawn borrowing facilities:

	<u>June 30, 2025</u>	<u>December 31, 2024</u>	<u>June 30, 2024</u>
Floating rate:			
Expiring within one year	\$ 1,332,713	\$ 1,990,909	\$ 1,843,681
Expiring beyond one year	-	-	-

- iii. The table below analyses the Group's non-derivative financial liabilities into relevant maturity groupings based on the remaining period at the balance sheet date to the contractual maturity date. The amounts disclosed in the table are the contractual undiscounted cash flows.

	Less than <u>1 year</u>	Between 1 and <u>2 years</u>	Between 2 and <u>5 years</u>	Over <u>5 years</u>
<u>June 30, 2025</u>				
<u>Non-derivative financial liabilities</u>				
Short-term borrowings	\$ 45,110	\$ -	\$ -	\$ -
Accounts payable	572,729	-	-	-
Other payables	259,092	-	-	-
Other payables-related parties	459	-	-	-
Lease liabilities	24,872	8,725	324	-
Long-term borrowings (including current portion)	53,448	53,448	80,167	-
Guarantee deposits received	1,316	-	-	-

	Less than 1 year	Between 1 and 2 years	Between 2 and 5 years	Over 5 years
<u>December 31, 2024</u>				
<u>Non-derivative financial liabilities</u>				
Short-term borrowings	\$ 45,036	\$ -	\$ -	\$ -
Accounts payable	604,299	-	-	-
Other payables	341,188	-	-	-
Other payables-related parties	217	-	-	-
Lease liabilities	25,295	16,524	214	-
Long-term borrowings (including current portion)	53,940	53,940	107,858	-
Guarantee deposits received	1,375	-	-	-
<u>Derivative financial liabilities</u>				
Forward foreign exchange contracts	\$ 5,710	\$ -	\$ -	\$ -
	Less than 1 year	Between 1 and 2 years	Between 2 and 5 years	Over 5 years
<u>June 30, 2024</u>				
<u>Non-derivative financial liabilities</u>				
Short-term borrowings	\$ 45,121	\$ -	\$ -	\$ -
Accounts payable	584,937	-	-	-
Other payables	382,180	-	-	-
Other payables-related parties	223	-	-	-
Lease liabilities	27,183	27,042	9,065	-
Long-term borrowings (including current portion)	54,433	54,433	136,075	-
Guarantee deposits received	1,375	-	-	-
<u>Derivative financial liabilities</u>				
Forward foreign exchange contracts	\$ 2,574	\$ -	\$ -	\$ -

(3) Fair value information

A. The different levels that the inputs to valuation techniques are used to measure fair value of financial and non-financial instruments have been defined as follows:

Level 1: Quoted prices (unadjusted) in active markets for identical assets or liabilities that the entity can access at the measurement date. A market is regarded as active where a market in which transactions for the asset or liability take place with sufficient frequency and volume to provide pricing information on an ongoing basis. The Group has no related investment.

Level 2: Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly or indirectly. The fair value of the Group's investment in derivative instruments is included in Level 2.

Level 3: Unobservable inputs for the asset or liability. The fair value of the Group's investment

in equity investment without active market is included in Level 3.

B. Except for those listed in the table below, the carrying amounts of cash and cash equivalents, notes receivable, accounts receivable, accounts receivable, other receivables, guarantee deposits paid, short-term borrowings, notes payable, accounts payable, other payables, lease liabilities, long-term borrowings (including current portion), and guarantee deposits received are approximate to their fair values.

C. The related information on financial instruments measured at fair value by level on the basis of the nature, characteristics and risks of the assets and liabilities is as follows:

(a) The related information on the nature of the assets and liabilities is as follows:

<u>June 30, 2025</u>	<u>Level 1</u>	<u>Level 2</u>	<u>Level 3</u>	<u>Total</u>
Assets				
<u>Recurring fair value measurements</u>				
Financial assets at fair value through profit or loss				
Forward foreign exchange contracts	\$ -	\$ 7,090	\$ -	\$ 7,090
Private equity fund	-	-	30,102	30,102
Financial assets at fair value through other comprehensive income				
Equity instruments	-	-	8,430	8,430
	<u>\$ -</u>	<u>\$ 7,090</u>	<u>\$ 38,532</u>	<u>\$ 45,622</u>
<u>December 31, 2024</u>	<u>Level 1</u>	<u>Level 2</u>	<u>Level 3</u>	<u>Total</u>
Assets				
<u>Recurring fair value measurements</u>				
Financial assets at fair value through profit or loss				
Private equity fund	\$ -	\$ -	\$ 30,477	\$ 30,477
Financial assets at fair value through other comprehensive income				
Equity instruments	-	-	8,778	8,778
	<u>\$ -</u>	<u>\$ -</u>	<u>\$ 39,255</u>	<u>\$ 39,255</u>
Liabilities				
<u>Recurring fair value measurements</u>				
Financial liabilities at fair value through profit or loss				
Forward foreign exchange contracts	\$ -	\$ 5,710	\$ -	\$ 5,710

<u>June 30, 2024</u>	<u>Level 1</u>	<u>Level 2</u>	<u>Level 3</u>	<u>Total</u>
Assets				
<u>Recurring fair value measurements</u>				
Financial assets at fair value through profit or loss				
Forward foreign exchange contracts	\$ -	\$ 204	\$ -	\$ 204
Private equity fund	-	-	32,920	32,920
Financial assets at fair value through other comprehensive income				
Equity instruments	-	-	8,745	8,745
	<u>\$ -</u>	<u>\$ 204</u>	<u>\$ 41,665</u>	<u>\$ 41,869</u>
Liabilities				
<u>Recurring fair value measurements</u>				
Financial liabilities at fair value through profit or loss				
Forward foreign exchange contracts	<u>\$ -</u>	<u>\$ 2,574</u>	<u>\$ -</u>	<u>\$ 2,574</u>

(b) The methods and assumptions the Group used to measure fair value are as follows:

- i. Except for financial instruments with active markets, the fair value of other financial instruments is measured by using valuation techniques or by reference to counterparty quotes. The fair value of financial instruments measured by using valuation techniques can be referred to current fair value of instruments with similar terms and characteristics in substance, discounted cash flow method or other valuation methods, including calculated by applying model using market information available at the consolidated balance sheet date.
- ii. When assessing non-standard and low-complexity financial instruments, for example, interest rate swap contracts and foreign exchange swap contracts, the Group adopts valuation technique that is widely used by market participants. The inputs used in the valuation method to measure these financial instruments are normally observable in the market.
- iii. The valuation of derivative financial instruments is based on valuation model widely accepted by market participants, such as present value techniques and option pricing models. Forward exchange contracts are usually valued based on the current forward exchange rate.
- iv. The output of valuation model is an estimated value and the valuation technique may not be able to capture all relevant factors of the Group's financial and non-financial instruments. Therefore, the estimated value derived using valuation model is adjusted accordingly with additional inputs, for example, model risk or liquidity risk and etc. In accordance with the Group's management policies and relevant control procedures

relating to the valuation models used for fair value measurement, management believes adjustment to valuation is necessary in order to reasonably represent the fair value of financial and non-financial instruments at the consolidated balance sheet. The inputs and pricing information used during valuation are carefully assessed and adjusted based on current market conditions.

D. For the six months ended June 30, 2025 and 2024, there was no transfer between Level 1 and Level 2.

E. The following chart is the movement of Level 3 for the six months ended June 30, 2025 and 2024:

	Equity instrument	
	2025	2024
At January 1	\$ 39,255	\$ 28,173
Recognized in profit or loss	(375)	(1,183)
Acquired during the period	-	14,500
Effect of exchange rate changes	(348)	175
At June 30	<u>\$ 38,532</u>	<u>\$ 41,665</u>

F. Information relating to transfer out amounting to \$0 from Level 3 for the six months ended June 30, 2025 and 2024 is provided.

G. Investing segment is in charge of valuation procedures for fair value measurements being categorised within Level 3, which is to verify independent fair value of financial instruments. Such assessment is to ensure the valuation results are reasonable by applying independent information to make results close to current market conditions, confirming the resource of information is independent, reliable and in line with other resources and represented as the exercisable price, and frequently calibrating valuation model, performing back-testing, updating inputs used to the valuation model and making any other necessary adjustments to the fair value. Investment segment set up valuation policies, valuation processes and rules for measuring fair value of financial instruments and ensure compliance with the related requirements in IFRS.

H. The following is the qualitative information of significant unobservable inputs and sensitivity analysis of changes in significant unobservable inputs to valuation model used in Level 3 fair value measurement:

	<u>June 30, 2025</u>	<u>Valuation technique</u>	<u>Significant unobservable input</u>	<u>Range (weighted average)</u>	<u>Relationship of inputs to fair value</u>
Non-derivative equity instrument:					
Unlisted shares	\$ 8,430	Market comparable companies	Price to earnings ratio multiple, discount for lack of marketability	Not applicable	The higher the multiple, the higher the fair value; the higher the discount for lack of marketability, the lower the fair value.
Private equity fund	30,102	Net asset value	Not applicable	Not applicable	The higher the net asset value, the higher the fair value.

	<u>December 31,2024</u>	<u>Valuation technique</u>	<u>Significant unobservable input</u>	<u>Range (weighted average)</u>	<u>Relationship of inputs to fair value</u>
Non-derivative equity instrument:					
Unlisted shares	\$ 8,778	Market comparable companies	Price to earnings ratio multiple, discount for lack of marketability	Not applicable	The higher the multiple, the higher the fair value; the higher the discount for lack of marketability, the lower the fair value.
Private equity fund	30,477	Net asset value	Not applicable	Not applicable	The higher the net asset value, the higher the fair value.

	<u>June 30, 2024</u>	<u>Valuation technique</u>	<u>Significant unobservable input</u>	<u>Range (weighted average)</u>	<u>Relationship of inputs to fair value</u>
Non-derivative equity instrument:					
Unlisted shares	\$ 8,745	Net asset value	Not applicable	Not applicable	The higher the net asset value, the higher the fair value.
Private equity fund	32,920	Net asset value	Not applicable	Not applicable	The higher the net asset value, the higher the fair value.

13. Supplementary Disclosures

(1) Significant transactions information

- A. Loans to others: Refer to table 1.
- B. Provision of endorsements and guarantees to others: Refer to table 2.
- C. Holding of marketable securities at the end of the period (not including subsidiaries, associates and joint ventures): Refer to table 3.
- D. Purchases or sales of goods from or to related parties reaching \$100 million or 20% of paid-in capital or more: None.
- E. Receivables from related parties reaching \$100 million or 20% of paid-in capital or more: None.
- F. Significant inter-company transactions during the reporting period: None.

(2) Information on investees

Names, locations and other information of investee companies (not including investees in Mainland China): Refer to table 4.

(3) Information on investments in Mainland China

- A. Basic information: Refer to table 5.
- B. Significant transactions, either directly or indirectly through a third area, with investee companies in the Mainland Area: None.

14. Segment Information

(1) General information

A. Management has determined the reportable operating segments based on the reports reviewed by Board of Directors that are used to make strategic decisions.

B. There is no material change in the basis for formation of entities and division of segments in the Group or in the measurement basis for segment information during this period.

(2) Information about segment profit or loss, assets and liabilities

The segment information provided to the chief operating decision-maker for the reportable segments is as follows:

<u>Three months ended June 30, 2025</u>	<u>Domestic</u>	<u>Asia</u>	<u>Total</u>
Revenue from external customers	\$ 330,564	\$ 490,993	\$ 821,557
Inter-segment revenue (Note)	425	33,061	33,486
Total segment revenue	<u>\$ 330,989</u>	<u>\$ 524,054</u>	<u>\$ 855,043</u>
Segment (loss) income	(\$ 35,671)	\$ 5,410	(\$ 30,261)

<u>Three months ended June 30, 2024</u>	<u>Domestic</u>	<u>Asia</u>	<u>Total</u>
Revenue from external customers	\$ 259,809	\$ 529,956	\$ 789,765
Inter-segment revenue (Note)	654	10,621	11,275
Total segment revenue	<u>\$ 260,463</u>	<u>\$ 540,577</u>	<u>\$ 801,040</u>
Segment (loss) income	(\$ 50,195)	\$ 32,957	(\$ 17,238)

<u>Six months ended June 30, 2025</u>	<u>Domestic</u>	<u>Asia</u>	<u>Total</u>
Revenue from external customers	\$ 670,796	\$ 1,041,174	\$ 1,711,970
Inter-segment revenue (Note)	2,433	50,813	53,246
Total segment revenue	<u>\$ 673,229</u>	<u>\$ 1,091,987</u>	<u>\$ 1,765,216</u>
Segment (loss) income	(\$ 51,344)	\$ 17,142	(\$ 34,202)

<u>Six months ended June 30, 2024</u>	<u>Domestic</u>	<u>Asia</u>	<u>Total</u>
Revenue from external customers	\$ 505,548	\$ 1,043,882	\$ 1,549,430
Inter-segment revenue (Note)	4,079	17,948	22,027
Total segment revenue	<u>\$ 509,627</u>	<u>\$ 1,061,830</u>	<u>\$ 1,571,457</u>
Segment (loss) income	(\$ 108,606)	\$ 66,714	(\$ 41,892)

Note: Sales between segments are carried out at arm's length.

(3) Reconciliation for segment income (loss)

- A. The revenue from external customers reported to the chief operating decision-maker is measured in a manner consistent with that in the statement of comprehensive income.
- B. A reconciliation of reportable segment income or loss to the income (loss) before tax from continuing operations for the three months and six months ended June 30, 2025 and 2024 is provided as follows:

	<u>Three months ended June 30,</u>	
	<u>2025</u>	<u>2024</u>
Reportable segments gain (loss)	(\$ 30,261)	(\$ 17,238)
Total non-operating income and expenses	(13,280)	2,807
Gain (loss) income before tax from continuing operations	<u>(\$ 43,541)</u>	<u>(\$ 14,431)</u>
	<u>Six months ended June 30,</u>	
	<u>2025</u>	<u>2024</u>
Reportable segments gain (loss)	(\$ 34,202)	(\$ 41,892)
Total non-operating income and expenses	(5,673)	19,819
Gain (loss) income before tax from continuing operations	<u>(\$ 39,875)</u>	<u>(\$ 22,073)</u>

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES

Loans to others

Six months ended June 30, 2025

Table 1

Expressed in thousands of NTD

(Except as otherwise indicated)

No. (Note 1)	Creditor	Borrower	General ledger account	Is a related party	Maximum Balance for the Period	Ending Balance (Note 2)	Actual amount drawn down	Interest rate	Nature of loan (Note 3)	Amount of transactions with the borrower	Reason for short-term financing	Allowance for doubtful accounts	Collateral		Limit on loans granted to a single party (Note 1)	Ceiling on total loans granted (Note 1)	Footnote
													Item	Value			
0	The Company	eBio International	Other receivables - related parties	Yes	\$ 40,000	\$ 40,000	\$ -	-	2	\$ -	Operating cycle	\$ -	Promissory note	\$ 40,000	\$ 464,521	\$ 929,042	

Note 1: According to the parent company's "Management policies on financing provided to Others "

(1) For individual companies, the loan shall not exceed 20% of the net value of the lender's most recent financial statements.

(2) The total amount of loan and loan shall not exceed 40% of the net value of the latest financial statement of the lender.

Note 2: Pursuant to paragraph 2 of article 14 in Regulations Governing Loaning of Funds and Making of Endorsements/Guarantees by Public Companies, loans of funds between the public company and its related parties shall be submitted for a resolution by the board of directors, and the chairman may be authorised, within a certain monetary limit resolved by the board of directors, and within a period not to exceed one year, to give loans in installments or to make a revolving credit line available for the counterparty to draw down. Such loan monetary limit is disclosed herein.

Note 3: Nature of Loan

(1) For operational or transaction purposes.

(2) For short-term financial needs.

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES

Endorsements/Guarantees provided

Six months ended June 30, 2025

Table 2

Expressed in thousands of NTD

(Except as otherwise indicated)

No.	Endorser/Guar	Endorsee/Guarantee		Limit on	Maximum Amount	Outstanding	Actual Amount	Amount	Ratio of Accumulated	Aggregate	Endorsement/	Endorsement/	Endorsement/	
		Name	Relationship	on Behalf of Each Party (Note 2)							Guarantee Given by Parent on Behalf of Subsidiaries	Guarantee Given by Subsidiaries on Behalf of Parent	Guarantee Given on Behalf of Companies in Mainland China	Footnote
0	The Company	eBio Technology	Note 1	\$ 1,161,303	\$ 20,000	\$ -	\$ -	\$ -	0.00%	\$ 2,322,606	Y	N	N	

Note 1: The Company owns directly more than 50% voting shares of the endorsed/ guaranteed subsidiary.

Note 2: The relevant regulations for "endorsements/guarantees limit" of the Company are as follows:

(1)The endorsement and guarantee limit for a single enterprise, except for subsidiaries in which the Company directly or indirectly holds more than 50% of the common stock, shall not exceed 50% of the net worth.

For other cases, it shall not exceed 10% of the net worth.

(2)The total amount of endorsements and guarantees provided by the Company to external parties shall not exceed 100% of the net worth.

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
Holding of marketable securities at the end of the period (not including subsidiaries, associates and joint ventures)
June 30, 2025

Table 3

Expressed in thousands of NTD / foreign currency / shares
(Except as otherwise indicated)

Securities held by	Marketable securities	Relationship with the securities issuer	General ledger account	As of June 30, 2025				Footnote
				Number of shares	Book value	Ownership	Fair value	
The Company	Private equity fund	-	Financial assets at fair value through profit or loss- non-current	-	\$ 30,102	3%	\$ 30,102	
The Company	Ordinary shares of Y Company	-	Financial assets at fair value through other comprehensive income- non-current	300	3,000	13.04%	3,000	
The Company	Ordinary shares of B Company	-	Financial assets at fair value through other comprehensive income- non-current	250	2,500	16.67%	2,500	
JOCHU BVI	Preferred shares of W Company	-	Financial assets at fair value through other comprehensive income- non-current	61	2,930	-	2,930	USD 100
JOCHU BVI	Preferred shares of PIH	Subsidiary	Financial assets at fair value through other comprehensive income- non-current	30	879	-	879	USD 30

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
Information on investees
Six months ended June 30, 2025

Table 4

Expressed in thousands of NTD / shares
(Except as otherwise indicated)

Investor	Investee	Location	Main business activities	Initial investment amount		Shares held as at June 30, 2024			Net profit (loss) of the investee for the years ended June 30, 2025	Investment income (loss) recognised by the Company for the years ended June 30, 2025		Footnote
				Balance as at June 30, 2025	Balance as at December 31, 2024	Number of shares	Ownership (%)	Book value				
The Company	JOCHU BVI	British Virgin Islands	Investment holding	\$ 1,149,099	\$ 1,149,099	36,564	100%	\$ 1,523,322	\$ 27,507	\$ 28,041		
The Company	LEGIUN	Taiwan	Sales of medical devices	80,000	80,000	8,000	100%	25,561 (	5,795) (	6,092)		
The Company	eBIO INTERNATIONAL CO., LTD.	Taiwan	Investment holding	107,114	71,114	16,331	73.66%	44,051 (	1,922) (	2,012)		
JOCHU BVI	JOCHU GLOBAL	Cayman Islands	Investment holding	328,912	328,912	10,000	100%	352,456	11,586	11,586		
JOCHU BVI	PIH	Singapore	Investment holding	496,256	496,256	16,348	65%	328,123 (	51,347) (	33,375)		
JOCHU GLOBAL	JOCHU INTERNATIONAL	Cayman Islands	Investment holding	328,912	328,912	10,000	100%	352,456	11,586	11,586		
PIH	JOCHU VIETNAM	Vietnam	Production and sales of optoelectronic components, stamping molds, and related international trading business	758,383	758,383	Not applicable	100%	503,391 (	51,213) (	51,213)		
eBIO INTERNATIONAL CO., LTD.	eBIO TECHNOLOGY INC.	Taiwan	Research and development, manufacturing of medical electronic devices, biomedical sensors, and integrated design services for healthcare systems.	107,071	101,071	16,364	100%	3,578 (	1,752) (	1,752)		

Table 4

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
Information on investments in Mainland China
Six months ended June 30, 2025

Table 5

Expressed in thousands of NTD / foreign currency
(Except as otherwise indicated)

Investee in Mainland China	Main business activities	Paid-in capital	Investment method (Note 1)	Accumulated amount of remittance from Taiwan to Mainland China as of January 1, 2025	Amount remitted from Taiwan to Mainland China/ Amount remitted back to Taiwan for the year ended June 30, 2025	Accumulated amount of remittance from Taiwan to Mainland China as of June 30, 2025	Net income of investee for the year ended June 30, 2025	Ownership held by the Company (direct or indirect)	Investment income (loss) recognised by the Company for the year ended June 30, 2025 (Note 2)	Book value of investments in Mainland China as of June 30, 2025	Accumulated amount of investment income remitted back to Taiwan as of June 30, 2025	Footnote
SUZHOU JOCHU	Production and sales of optoelectronic components, stamping molds, and related international trading business	\$ 569,170	2	\$ 367,541	\$ - \$ -	\$ 367,541	\$ 49,292	100%	\$ 49,292	\$ 841,665	\$ 1,907,779	Note 2(2)B
XIAMEN JOCHU	Production and sales of optoelectronic components, stamping molds, and related international trading business	451,775	2	328,912	- -	328,912	17,379	100%	17,379	528,648	692,751	Note 2(2)B

Company name	Accumulated Outward Remittance for Investments in Mainland China as of June 30, 2025	Investment Amount Authorised by the Investment Commission, MOEA	Upper Limit on the Amount of Investments Stipulated by the Investment Commission, MOEA (Note 3)
The Company	\$ 696,453	\$ 862,275	\$ 1,502,516

Note 1: Investment methods are classified into the following three categories; fill in the number of category each case belongs to:
 (1) Directly invest in a company in Mainland China.
 (2) Through investing in an existing company in the third area, which then invested in the investee in Mainland China.
 A. Invested through Jochu Investment Ltd.
 B. Invested 66.67% by Jochu International (Cayman) Ltd. and 33.33% by Suzhou Zhou Qiao Precision Metal Co., Ltd., totaling 100%.
 (3) Others

Note 2: In the ‘Investment income (loss) recognised by the Company for the year ended December 31,2024’ column:
 (1) It should be indicated if the investee was still in the incorporation arrangements and has not yet generated any profit during this period.
 (2) Indicate the basis for investment income (loss) recognition in the number of one of the following three categories:
 A.The financial statements were audited by international accounting firm which has cooperative relationship with accounting firm in R.O.C.
 B.The financial statements were audited by R.O.C. parent company's CPA.
 C.Others.

Note 3: According to the new regulations issued by the Investment Review Committee of the Ministry of Economic Affairs in August 2009,
 the calculation method of the investment limit for the mainland area is the net value or 60% of the combined net value, whichever is higher.